

Indonesia CPO

EQUITY: AGRI-RELATED

Supercycle zone

Continued inventory depletion to boost CPO prices

Production likely to be flat or decline

We believe global crude palm oil (CPO) production is either going to be stagnant or decline in the medium term, even without the Middle East war disruption. Our main thesis is CPO yield erosion will continue, as plantation age profile is heavily skewed towards older trees in Indonesia and Malaysia (which together account for ~85% of global CPO production, see [Fig. 6](#)). We think that Indonesia, as the largest producer globally, has been too slow in replanting its smallholder's plantation (small-scale farmers – 45% of Indonesia's total plantation area); at this acute stage, we believe cost incurred to rejuvenate smallholder farmers' plantations would be massive, given the large accumulated area. On top of that, there is a shortage of quality palm oil seeds, suggesting Indonesia's CPO production may suffer long-term production yield pressure, unless the government reopens large new plantation areas. We also believe the confiscated plantation lands under SOE might produce less harvest yields due to inefficient operations, given the lack of skilled manpower. Currently, the confiscated lands are close to 1mn ha, or an estimated ~8% of total Indonesia planted area. Additional production yield pressure would also come from expensive fertilizer prices as smallholder farmers are most likely to reduce fertilizer usage. The same might happen to other crops (i.e. soybean and sunflower), which would translate to a lower global vegetable oil yield as well. Moreover, El Nino – one of investors' biggest concerns and has been slowly strengthening towards 2H26F – could put further pressure on production, although we expect a lagged yield impact (i.e. to 2027F)

Accelerating Biofuel expansion

Indonesia's biodiesel program is the biggest factor to influence global CPO prices as it has historically contributed >65% of global incremental CPO demand, according to USDA. We estimate Indonesia's B50 implementation will add ~4mn tons of demand (vs. 4.7mn tons estimated global demand in 2026F and 2027F), likely pushing CPO prices to new highs. We believe the Indonesia government might expand the biodiesel program to beyond B50 given its main goal is to eliminate diesel fuel imports. With narrowing spreads between biodiesel and diesel fuel, we believe the country's CPO fund budget can afford to subsidize B50 with a minimal levy hike. Conservatively, we assume CPO fund would need to raise the levy by another 2.5-5% to run the B50 mandate, which is still accretive for upstream producers as CPO price hikes will compensate for a higher levy. Additional demand booster also comes from energy scarcity amid geopolitical tension, forcing more countries to accelerate biofuel blending such as Malaysia, Brazil, the Philippines, and the US (see [Fig. 17-18](#)). Therefore, demand for overall vegetable oils should structurally increase, in our view.

Structurally high CPO prices

We believe CPO prices are entering a supercycle, with high prices sustaining in the long run, and likely even longer than the commodity boom cycle 15 years ago. We also believe CPO companies could generate higher profits and accumulate more cashflow than in the past. We forecast the average CPO Rotterdam price to reach USD1,412/ton in 2026F and USD1,497/ton in 2027F versus USD1,307/ton in 2025, and expect domestic prices to witness a similar rising trend.

Our view of a multiyear CPO price expansion is based on our assumptions that: **1)** demand structurally would exceed supply – we estimate Indonesia and Malaysia total CPO inventory will reach <4mn tons in 2026/27F, the lowest in the past decade; **2)** other vegetable oil prices would remain elevated, supporting CPO prices – driven by less

Research Analysts

Indonesia Research Team

Raghavendra Divekar, CFA - NSM
raghavendra.divekar@nomura.com
+603 2027 6893

Onshore expert

Sandy Ham (sandy.ham@verdhana.id),

Samuel Christian
(samuel.christian@verdhana.id),

Jody Wijaya (jody.wijaya@verdhana.id),

Nayla Yasmin
(nayla.yasmin@verdhana.id),

The onshore experts, who are employed by PT Verdhana Sekuritas Indonesia ("Verdhana") and are not licensed outside Indonesia, have contributed to the content of this report under a partnership agreement between Nomura and Verdhana.

fertilizer usage and higher biofuel blending amid geopolitical tension; and 3) no optimal substitute for CPO products.

Top picks

In terms of top picks, we select CPO names that have: 1) high production yields; 2) low cash cost; and 3) improved dividend yield. Our top picks are in the order of **Triputra Agro Persada (TAPG IJ [BUY – TP 2,500]**; it has a high production yield, the lowest cash cost amongst peers, and the highest dividend yield in ASEAN) > **Dharma Satya Nusantara (DSNG IJ [BUY – TP 2,100]**; high production yield and deleveraging advantages) > **London Sumatra Indonesia (LSIP IJ [BUY – TP 2,450]**; has one of the cheapest valuations).

We value Indonesia plantation firms at an average 25% discount to peers in Malaysia, which we believe already reflected market concerns about export-agency uncertainty and the associated widened Indo-Malaysia CPO price discount; we therefore see these risks as highly priced in at current levels. On the export-governance front, we do not see the role of Danantara Sumberdaya Indonesia (DSI) (unlisted), Indonesia's export body that monitors exports and verifies agents, posing a material harm to the CPO ecosystem. We expect DSI to stay as a monitoring intermediary rather than becoming a sole trader, and we deem it unlikely to become a fully monopsony model to be enforced as it would risk disrupting trading activity, compressing local CPO prices, and inflicting losses on farmers, the knock-on effects of which would likely weigh on the Rupiah, widen Indonesia's trade deficit, and ultimately pressure the government's political standing. In a worst-case scenario (i.e. the government experiments with the sole trader model), we expect a period of turbulence, although we believe a quick policy correction would follow if damage to farmer incomes and the Rupiah becomes apparent.

Fig. 1: Stocks for action

Company	Ticker	Rating	Target Px (IDR)		Last Px (IDR) 21-Jul	Upside (%)	Target P/E (x)		Implied P/E (x)	
			Old	New			Old	New	FY26F	FY27F
Triputra Agro Persada	TAPG IJ	Buy (~)	2,700	2,500 (▼)	1,610	55%	13.0	12.0 (▼)	7.6	6.9
Dharma Satya Nusantara	DSNG IJ	Buy (initiation)	-	2,100	1,230	71%	-	10.0	5.8	5.2
London Sumatera	LSIP IJ	Buy (initiation)	-	2,450	1,340	83%	-	8.0	4.4	4.2

Source: Bloomberg Finance L.P., company data, Nomura estimates

How we value Indonesia CPO stocks

We argue that CPO prices should rise higher than 2010-2020 levels as the current weakness in supply is more acute while demand from biodiesel continues to rise, which should push CPO prices into a strong upcycle. Moreover, other vegetable oil substitutes have similar supply and demand dynamics and should support CPO prices. Indeed, CPO prices have sustainably stayed above USD1,000/ton since 2023 (vs. an average cash cost of USD770/ton), delivering large profitability for CPO players. We use a conservative target multiple of 8-12x PE to value Indonesia CPO stocks, compared to 21x average ASEAN P/E in 2010-2020), also at a 25% discount to Malaysia CPO stocks on average, as we incorporate higher risks of potential unfavourable government policies and ESG discount. Our three preferred CPO stocks are **TAPG > DSNG > LSIP**.

We choose TAPG as our top pick, in view of its: **1)** high productivity, backed by a relatively young plantation age profile of ~15 years old; **2)** lowest cash cost among domestic listed companies, thanks to its operational excellence; and **3)** has the highest dividend yield. The company has the capability to pay high dividend as it has largely completed its infrastructure buildout and is in a significant net cash position.

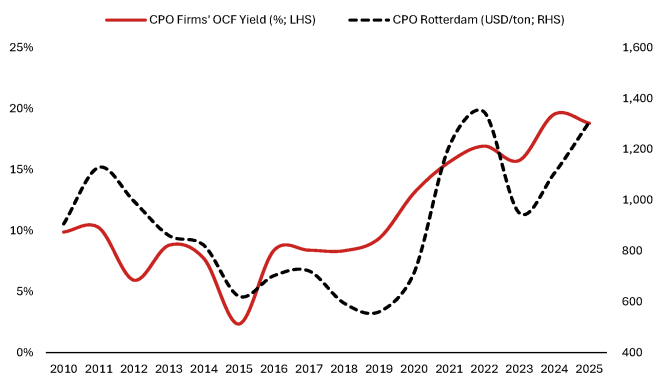
DSNG is our second pick. The company also has a similar plantation age profile, and hence is producing high output. The company is also gradually reducing debt, boosting its NPAT further. However, management is actively developing downstream businesses and accelerating its replanting program, which could put a cap on its dividend payout ratio.

Our third preferred stock is LSIP despite its older plantation age profile, but its cash cost remains very efficient compared to peers, in our view. Besides, we think LSIP's current valuation is inexpensive.

These three stocks are domestic CPO players, not exporters; thus, we believe it would be more relevant to use Indonesia final local CPO prices to analyze their businesses.

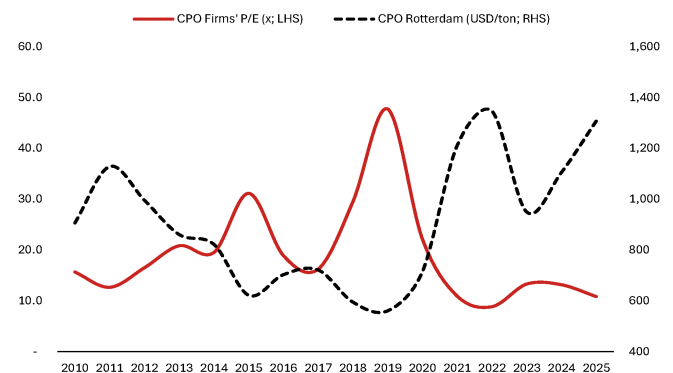
Downside risks to our investment views are mainly unfavourable government policies, especially if DSI (Indonesia export body) acts as sole trader. But we view this scenario as unlikely as a monopsony model is not feasible. Even if the government were to experiment on this model, it would only be temporary as the authorities will likely change the policy considering the significant damage inflicted on farmers income and the Rupiah. Therefore, in this report, we assume DSI would act only as an agent to monitor and supervise the sector.

Fig. 2: ASEAN CPO firms' operating cashflow (OCF) yield improvement aligns with CPO price movement



Source: Company data, Nomura research

Fig. 3: ASEAN CPO firms' valuation (P/E) versus CPO price



Source: Company data, Nomura research

Fig. 4: CPO peer comparison

Indonesia CPO stocks under our coverage have better growth and cheaper valuations than the regional peer average

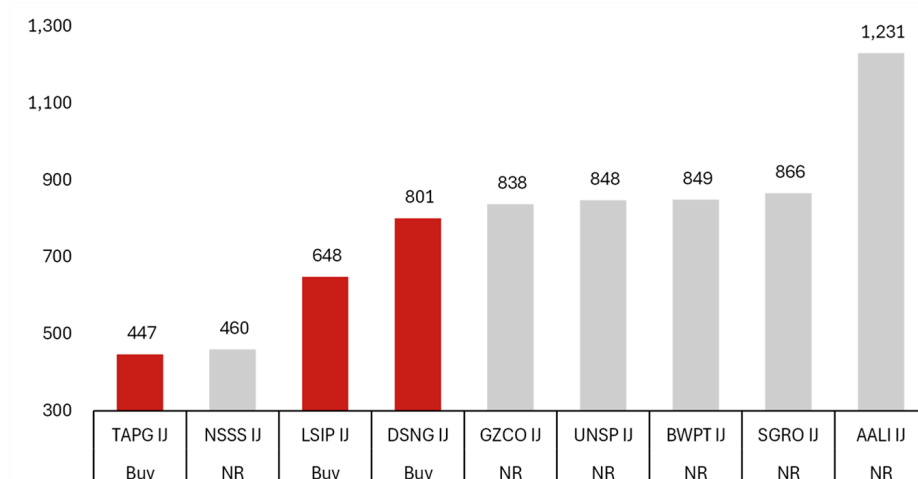
Company	Bloomberg Ticker	M Cap US\$ mn	Rating	Target Price LC	Last Price 21-Jul-26	Upside (%)	NPAT Growth (%)		P/E (x)		P/B (x)		ROE (%)		Dividend Yield (%)	
							FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F
Malaysia																
SD Guthrie	SDG MK	11,144	Buy	7.20	6.59	9%	7%	2%	16.5	16.1	2.1	2.0	13.2	12.6	3.0	3.0
Johor Plantations Group	JPG MK	1,229	Buy	2.20	2.01	9%	-4%	-2%	15.5	15.5	1.6	1.5	10.8	10.1	3.5	3.5
IOI Corporation	IOI MK	6,901	Neutral	4.60	4.49	2%	1%	-1%	18.0	18.0	2.1	2.0	12.1	11.3	2.7	2.9
Kuala Lumpur Kepong	KLK MK	5,730	Neutral	24	21.02	14%	79%	8%	15.8	14.7	1.6	1.5	10.1	10.4	3.8	4.3
Genting Plantations	GENP MK	1,250	Not Rated	na	5.70	na	2%	0%	14.1	14.0	1.0	0.9	7.1	6.9	4.2	4.4
Sarawak Oil Palms	SOP MK	1,138	Not Rated	na	5.12	na	8%	2%	9.5	9.3	1.0	0.9	11.2	10.6	3.4	3.5
Average							15.2%	1.6%	14.9	14.6	1.6	1.5	10.7	10.3	3.4	3.6
Singapore																
Wilmar International	WIL SP	18,927	Neutral	3.50	3.91	-10%	11%	11%	12.1	11.2	1.1	1.1	7.1	7.6	5.6	6.0
First Resources	FR SP	4,309	Not Rated	na	3.59	na	9%	2%	12.3	12.4	3.0	2.7	22.6	21.5	5.5	6.0
Average							10.2%	6.8%	12.2	11.8	2.0	1.9	14.8	14.6	5.5	6.0
Indonesia																
Tripura Agro Persada	TAPG IJ	1,793	Buy	2,500	1,610	55%	13%	11%	7.6	6.9	2.7	2.6	36.5	38.6	13.0	14.3
Dharma Satya Nusantara	DSNG IJ	723	Buy	2,100	1,230	71%	21%	11%	5.8	5.2	1.0	0.9	18.0	17.5	5.1	6.7
London Sumatera	LSIP IJ	513	Buy	2,450	1,340	83%	11%	5%	4.4	4.2	0.6	0.5	14.1	13.5	6.9	7.2
Astra Agro Lestari	AALI IJ	697	Not Rated	na	6,450	na	9%	4%	7.2	6.9	0.5	0.5	6.7	5.7	5.6	5.5
Average							13.4%	7.7%	6.3	5.8	1.2	1.1	18.8	18.8	7.6	8.4

Note: Bloomberg consensus estimates for Not rated stocks

Source: Bloomberg Finance L.P., Nomura estimates

Fig. 5: CPO companies cash cost comparison (USD/ton) (2025)

TAPG has most efficient cash cost owing to operational excellence and productive yield.



Source: Company data, Nomura research

Risks that could undermine our thesis

- Assigning DSI as a sole trader can disrupt the supply chain of the CPO industry, such as weakening local CPO prices significantly. In terms of operation, we believe implementing a monopsony model in the CPO industry will bring extreme high risks, given lack of capability in terms of human resources, infrastructures, and capital. Politically, it also produces additional complexity as there are many conflicts of interests and law enforcements issues. An instant implementation of a sole trader model would immediately destroy local CPO prices as export trading activities will deteriorate in a rapid pace, resulting in massive losses for farmers, and at the same time damage government popularity significantly, in our view. This policy will also widen trade deficit considerably, as well as weaken the Rupiah and Indonesia's fiscal position. All in all, we think the total damage would be too big. That said, logically, the government should maintain DSI's role as a monitoring agent only, not as a sole trader. Currently, with DSI acting as a monitoring agent, it does not pose significant harm to the CPO ecosystem, in our view. However, in a worst-case scenario, that is, if the government experiments with the policy and forces a monopsony model immediately, we risk seeing significant economic turbulence. Nonetheless, if such were to happen, we believe the government will do a quick correction and fix the issue fast, as it understands the huge damage inflicted especially on farmers' wealth.
- If the government decides to cut biodiesel mandate blending requirements, we

believe the demand for CPO locally will deteriorate substantially, which would then disrupt CPO prices. Note that currently Indonesia CPO demand mostly comes from the biodiesel program. However, we think the probability of this happening is low, as this programs politically benefits the government, especially given that the program is pushing CPO prices higher, supporting farmers' income and reducing import dependency that aligns with Indonesia's energy self-sufficiency plan. Imposing a higher levy to support the biodiesel expansion program is also futile, in our view, as it will be fully compensated by increased CPO prices.

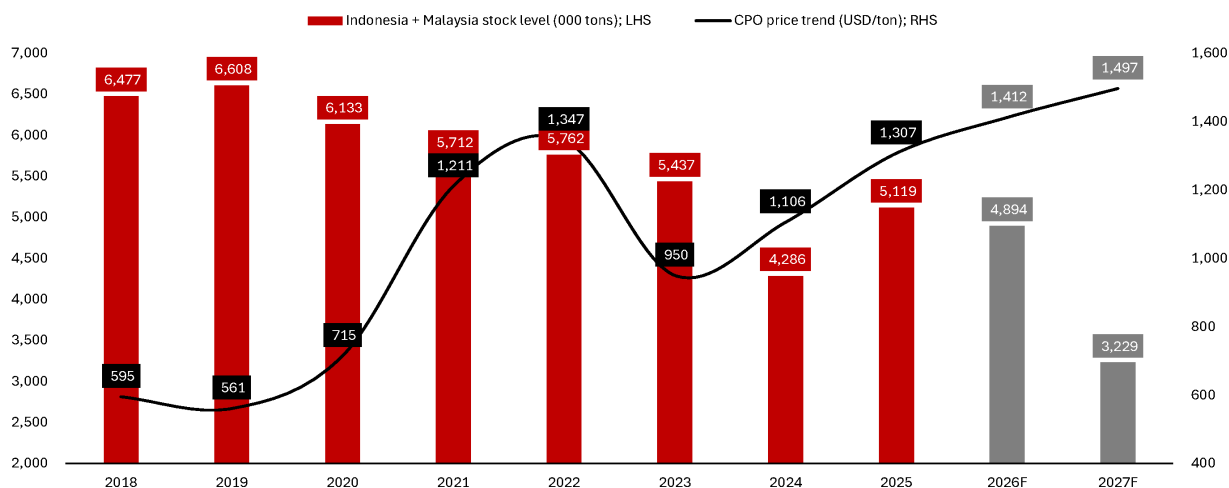
- With a tight fiscal position, there is a possibility of the government imposing a new tax on the natural resources industry, including CPO. Any additional expenses for CPO firms will drag down earnings directly. Hence, we put a substantial valuation discount on Indonesia CPO stocks due to uncertainty risks associated with government policies.

Significant drop in CPO inventory

We project CPO inventory levels in Indonesia and Malaysia (combined account for ~85% of total global supply) to erode in a rapid pace in 2026-27F. We estimate the combined CPO inventory level of Indonesia and Malaysia will reach below 4mn tons by 2027F, the lowest in the past one decade. Based on our projection, Indonesia may experience the biggest drop in inventory level. We believe the deterioration of CPO inventory level will be caused by three major factors: **1) structural pressure on CPO production yields.** Indonesia and Malaysia's plantation age profile continues to decline, with mature trees producing lower harvest yields. Indonesia, as the largest global CPO producer, cannot afford to rejuvenate its smallholder plantation (45% of total plantation areas) due to very high costs and lack of quality palm oil seeds. We also believe the inefficient operation of confiscated land under SOE will result in lower harvest yields. These confiscated lands are currently close to 1mn ha or equivalent to 8% of total Indonesia planted areas. Additional production pressure may come from expensive fertilizer prices as smallholder farmers are likely to cut fertilizer usage. The same could also happen to other crops; **2) biofuel mandate expansion.** Indonesia's B50 implementation would be the main booster for global demand, in our view. In addition, the recent energy scarcity issue is forcing many countries to increase their biofuel blending to strengthen their energy security; and **3) the rise of other vegetable oil prices to support CPO demand.** Other crops such as soybean and sunflower oil may also face lower production yields in the future owing to rising fertilizer costs. On top of that, more countries have expanded their biofuel programs, boosting demand for vegetable oils. Higher vegetable oil prices, as product substitutes, will help to sustain CPO prices. With El Nino developing in 2026, this is also disrupting production yields. Fundamentally, a lower inventory level should translate to a higher CPO price; hence, companies with a higher production yield would benefit the most. We believe TAPG and DSNG would witness superior revenue and earnings growth, given their relatively young plantation age profile and operational excellence, while LSIP also should enjoy improved profitability.

Fig. 6: Indonesia + Malaysia inventory level (85% of global supply) decline structurally, driving up CPO prices

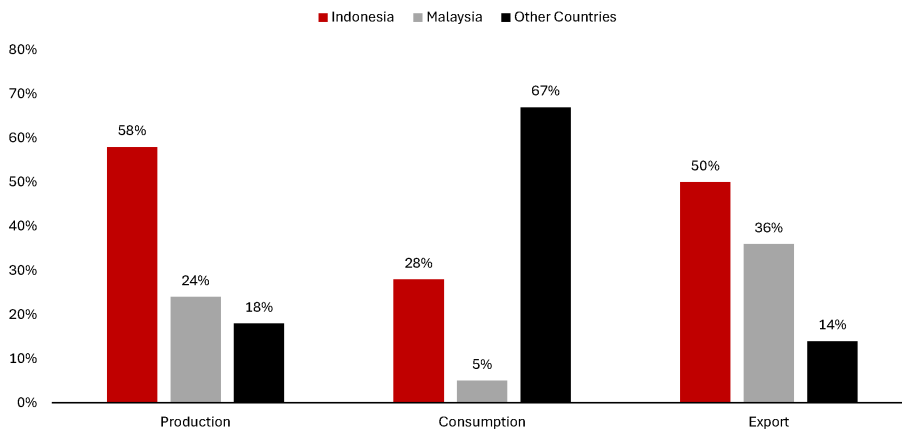
Demand (biodiesel expansion globally) exceeds supply (aging tree profile, lower yield due to less fertilizer usage, and inefficient confiscated land) on a bigger scale, additional pressure may come from potential El Nino effect; thus, stock level should erode further.



Source: GAPKI, MPOB, Company note, Nomura estimates

Fig. 7: CPO production, consumption, and export contribution to total global

Indonesia is a clearly the dominant player globally

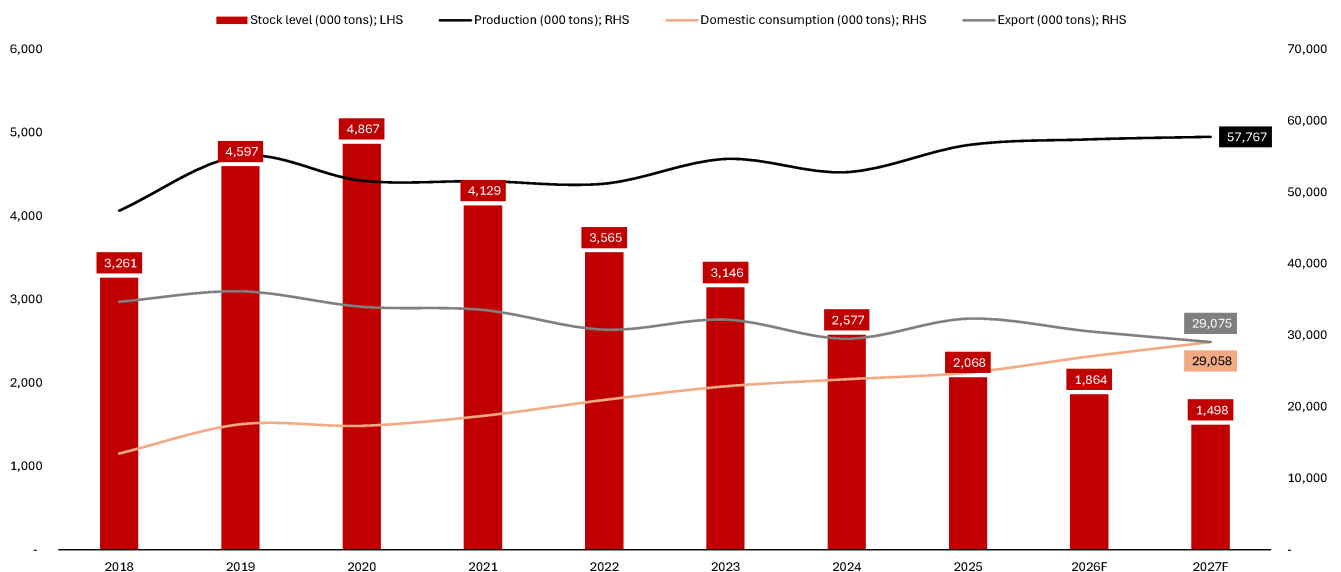


Source: USDA, Nomura research

We forecast Indonesia's CPO inventory levels to continue to deteriorate as domestic demand rapidly increases, owing to the biodiesel program expansion. We expect the B50 implementation to consume a big proportion of the country's exports, and that domestic demand is likely to match its exports size by 2027F. Meanwhile, we project production to remain stagnant as smallholders (account for ~45% of Indonesia's total plantation areas) have a higher concentration of older trees with low productivity and there is no clear directives/discipline regarding replanting. Given the accumulated number of unproductive trees over the years, we believe starting a replanting program for smallholder farmers is too late, especially considering the huge cost to be incurred. On top of that, we learn that there is not enough good quality palm oil seeds for such large replanting. Moreover, given the current energy scarcity issue, farmers also are likely to reduce fertilizer usage due to expensive costs, which should erode production yields 1-2 years later, based on our calculations. We understand there are about 1mn ha of productive confiscated lands under SOE management. These lands are likely to have low maintenance and low operational state due to lack of skilled labours, which are resulting in lower harvest yields. In our view, to reverse the production trend, the government needs to add new proper plantations; however, we believe execution would be extremely difficult, given limited budget and lack of skilful labours.

Fig. 8: Indonesia Inventory level has declined steeply

Strong domestic consumption led by biodiesel program expansion while production remains stagnant, resulting in lower inventory structurally

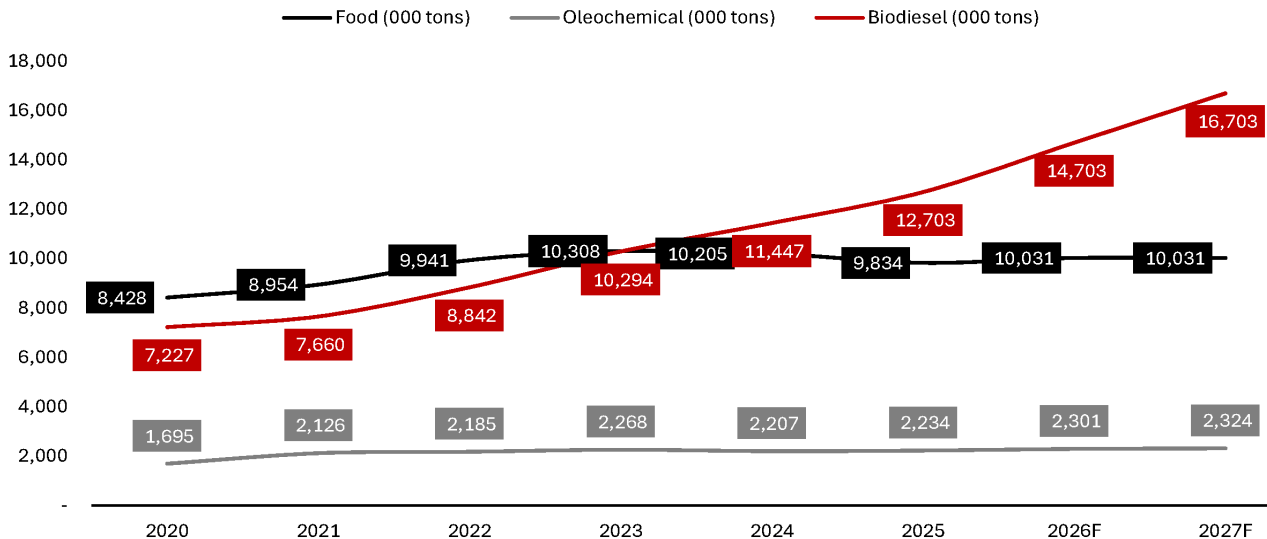


Source: GAPKI, Nomura estimates

We think the Indonesia government will continue to develop biodiesel blending mandate beyond B50 as its main priority is to reduce energy import dependency although it might not be economically viable. A biodiesel program will consume most of the country's export proportion while we also expect the government to maintain its domestic market obligation (DMO) for cooking oil (to maintain cooking oil supply). We note that CPO for cooking oil supply currently hover at 9mn tons. Therefore, we should see a structural declining export trend in the future.

Fig. 9: Indonesia palm oil domestic demand breakdown

Biodiesel demand continues to expand



Source: GAPKI, Nomura estimates

Based on our conservative projections, ceteris paribus, we believe Indonesia's CPO funds can still afford to run B50 with a minimal levy hike of 2.5%-5%. However, given the ongoing geopolitical tension in the Middle East, we believe at the current stage, the Palm Oil Plantation Fund Management Agency does not need to raise levies to raise CPO fund, as the size of subsidies for Indonesia's biodiesel programs could be much lower, given the gap between oil price and CPO price is narrowing. Even if oil cost surpasses CPO prices, we believe the fund will not be used for subsidies for biodiesel; hence, the biodiesel program becomes more sustainable. In terms of timeline, the government has gradually started the B50 mandate in July-26 gradually, but the government must use up the remaining B40 fuel first. Thus, we expect that the full implementation of B50 will be in 2027E.

Fig. 10: CPO fund budget forecast

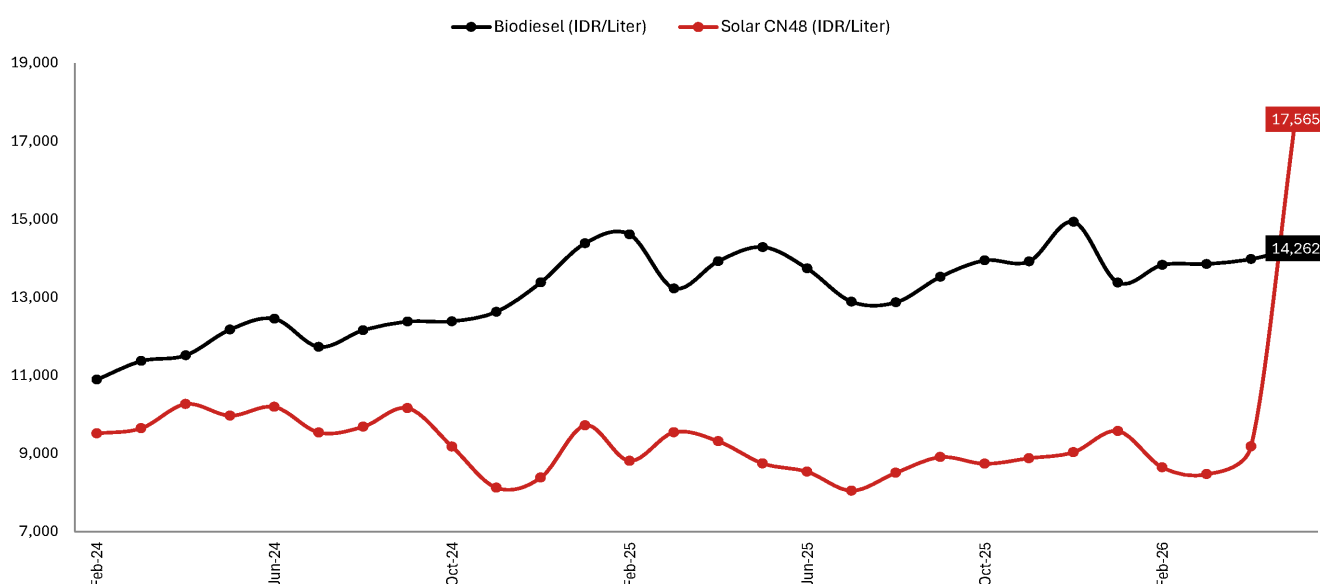
Economically, B50 implementation seems feasible, in our view

IDR tn	2021	2022	2023	2024	2025F (B40)	2026F (B50 in 2H)	2027F (B50)
Beginning Balance	9.6	25.7	25.1	37.6	35.4	18.9	16.5
Revenue	72.5	35.7	34.6	28.4	33.2	45.4	67.0
Biodiesel Expenditure	(52.0)	(34.7)	(18.3)	(29.4)	(47.4)	(45.5)	(61.8)
Other Expenditures	(1.5)	(1.6)	(2.6)	(2.3)	(2.3)	(2.3)	(2.3)
Surplus	19.0	(0.6)	13.7	(3.3)	(16.5)	(2.4)	2.9
Adjustment	(2.9)	-	(1.2)	1.1	-	-	-
Ending Balance	25.7	25.1	37.6	35.4	18.9	16.5	19.4
Assumption							
Biodiesel consumption growth (%)					5.0	3.0	3.0
Subsidy spread (IDR)					6,000	5,000	6,000
CPO price (USD/ton)					950	1,045	1,097
USD/IDR					16,465	17,400	17,800
Average levy rate (%)					8.2%	10.7%	15.7%

Source: BPDPKS, Nomura estimates

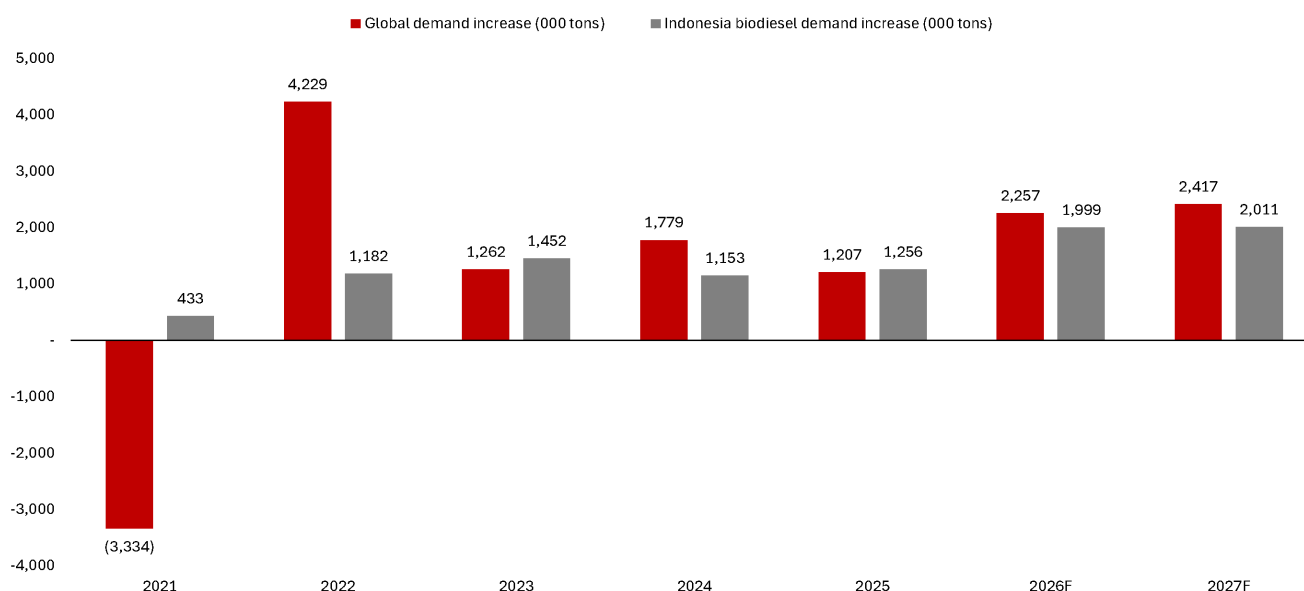
Fig. 11: Biodiesel price versus diesel fuel price trend

The price gap between two prices will translate to CPO fund subsidy, when diesel fuel price exceeds biodiesel price, CPO fund does not need to disburse subsidy.



Source: Ditjen EBTKE, Nomura research

As illustrated in *Fig. 12*, Indonesia's biodiesel expansion has significantly driven up global demand, which has also pushed up prices. The implementation of B50 in 2H26 is likely to further push up CPO prices as CPO inventory will erode faster than before. We also see a very low likelihood of the biodiesel program being revoked, as the government wants to eliminate diesel fuel imports, and hence, expanding the biodiesel program beyond B50 becomes more feasible.

Fig. 12: Indonesia biodiesel expansion drives up global demand

Source: GAPKI, Nomura estimates

Tracking Indonesia's domestic CPO price trend, we note the average price hovers at IDR15,900/kg YTD 2026 (vs. IDR14,100/kg in 2025). The domestic price trend generally moves in tandem with the international price despite some time lag. We think that monitoring domestic price movement is more relevant for TAPG, DSNG, and LSIP, since they are only selling CPO domestically. Given current high CPO prices, domestic CPO firms should enjoy margin expansion.

Fig. 13: Domestic CPO price trend (IDR/kg)

Domestic price tends to move in tandem with international price. We note that this price movement is more relevant for domestic players such as TAPG, DSNG, and LSIP; currently the average local price is hovering at levels higher than in previous years.

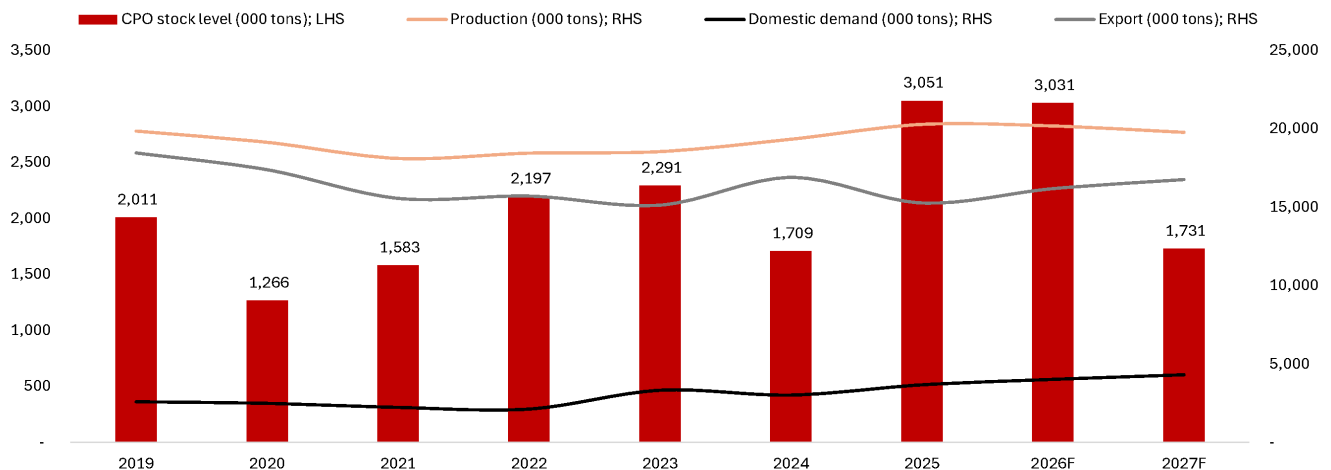


Source: GAPKI, Nomura research

In 2025, lower exports resulted in higher CPO inventory levels in Malaysia. By 2027F, we expect inventory levels to decline owing to increased domestic consumption as the government plans to expand the national biodiesel blending program to B15 or even B20. In terms of production, we believe the older age profile of trees will lead to lower production yields. In addition, a lower CPO inventory level should support international CPO prices.

Fig. 14: Malaysia CPO inventory levels

We expect production to remain stagnant; we have not incorporated potential B15 or B20 expansion plan in projections below.

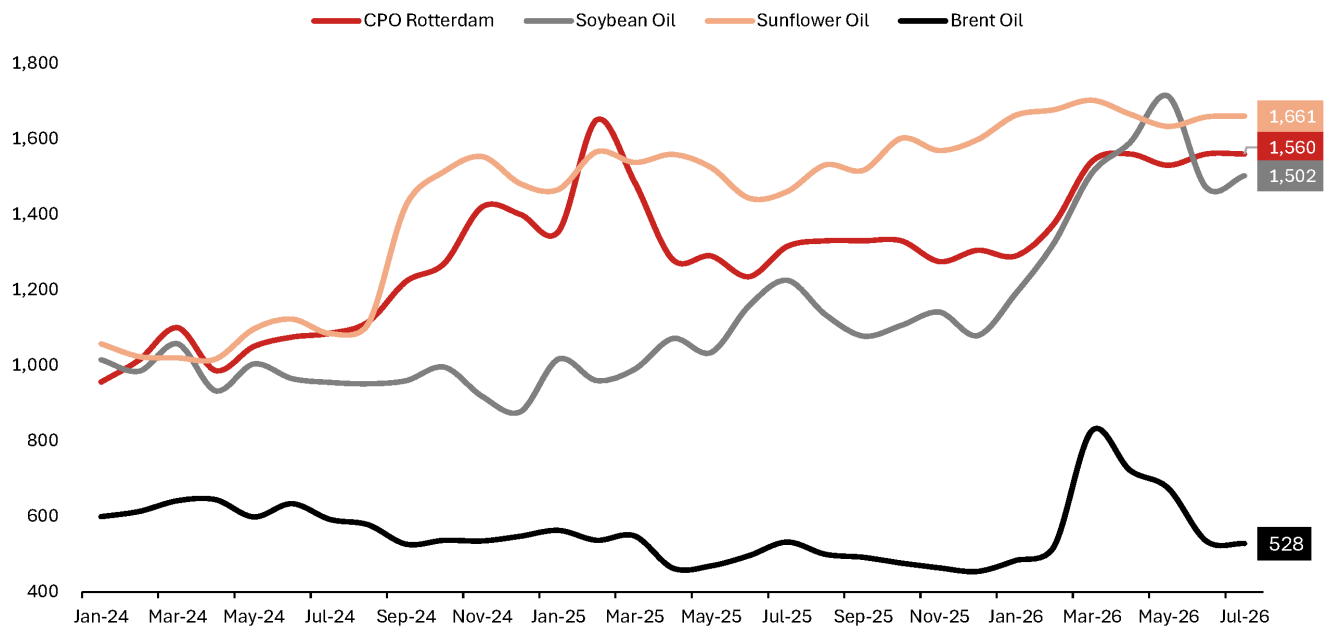


Source: MPOB, Nomura estimates

We expect vegetable oil prices to remain elevated over the next three years as smallholder farmers might curtail the use of fertilizers amid soaring prices, with supply chains likely to remain disrupted due to the Middle East conflict at least for a year. Potential adverse impact on production yields due to lesser fertilizer use could be seen one or two years later, in our view. Meanwhile, globally, an increasing number of countries, including Indonesia, Malaysia, the Philippines, Thailand, Brazil and the USA, are likely to ramp up biodiesel production in order to reduce their dependency on crude oil. Hence, demand for vegetable oils should structurally exceed supply going forward, even after the end of the war in the Middle East, in our view.

Fig. 15: Price trends for key vegetable oils vs Brent (USD/ton)

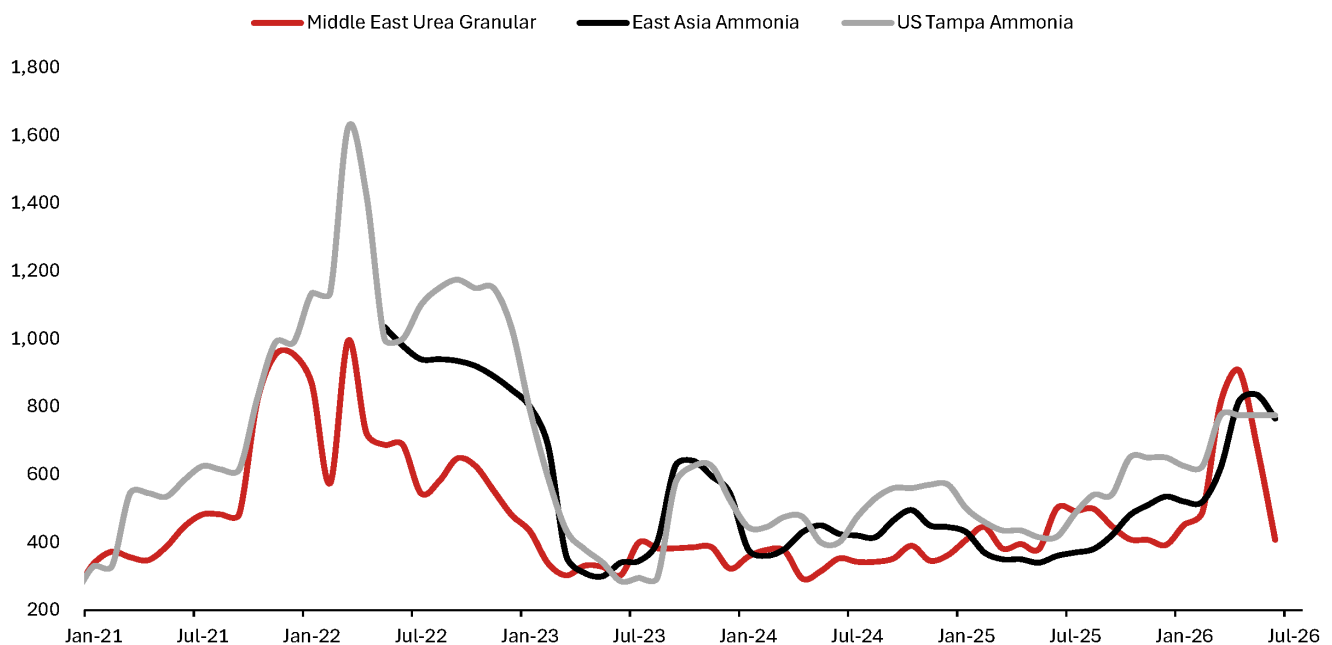
We expect vegetable oil prices to continue to strengthen vs Brent as a long-term consequence of reduced fertilizer usage and higher biodiesel blending mandates



Source: Bloomberg Finance L.P., Nomura research

Fig. 16: Urea and ammonia spot prices (USD/ton)

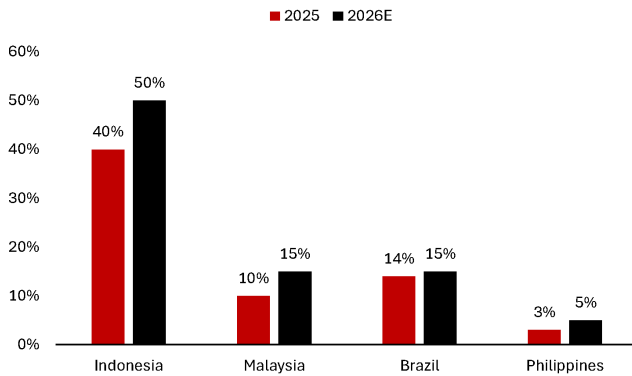
Uptrend in prices should continue, in our view, amid an uncertain geopolitical environment, resulting in higher fertilizer prices



Source: Bloomberg Finance L.P., Nomura research

Fig. 17: Biodiesel blending mandate in some countries

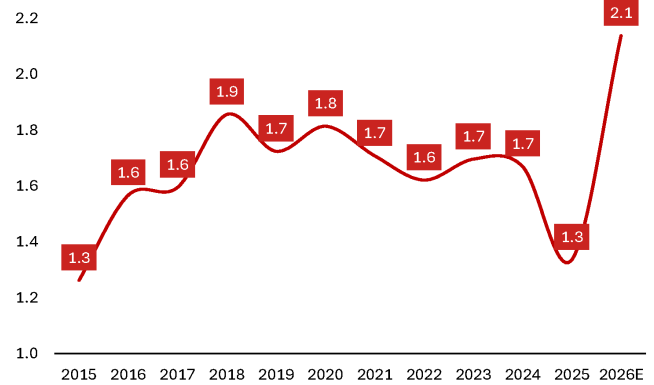
Biodiesel becomes an important energy source amid geopolitical uncertainties and supply-chain disruptions



Source: USDA, Nomura research

Fig. 18: US biodiesel production trend (bn tons)

The US has started expanding its biodiesel production significantly as part of its energy security plan.

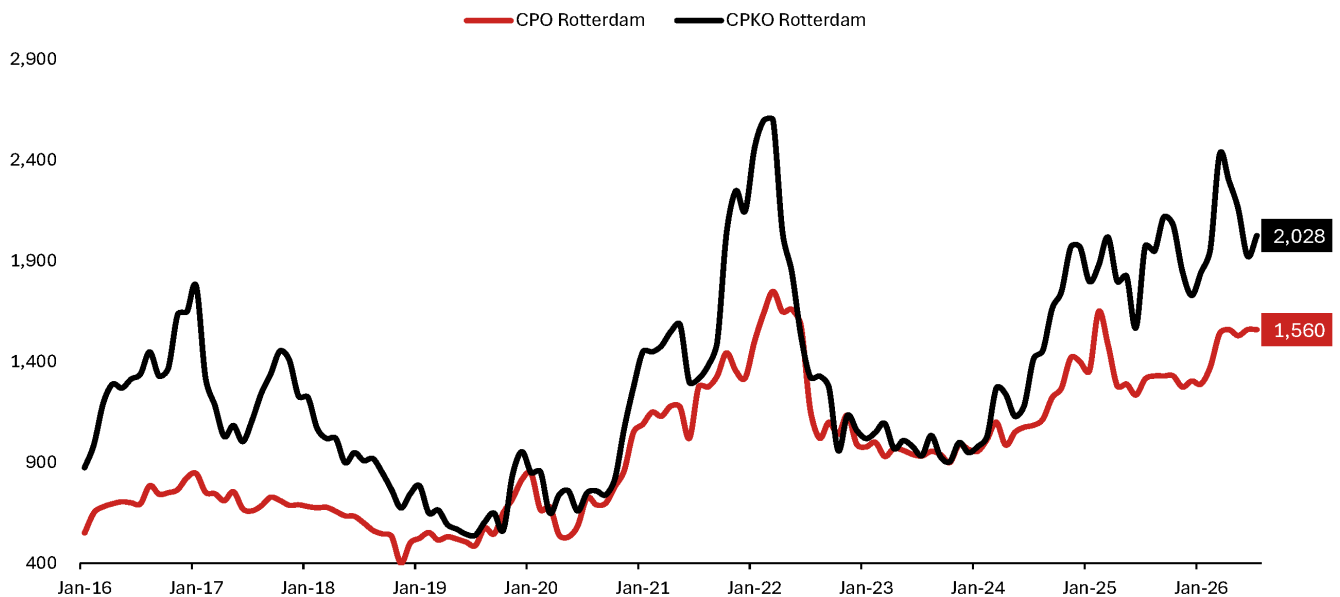


Source: USDA, Nomura research

Meanwhile, we expect prices of crude palm kernel (CPKO) to expand at a higher rate than CPO prices due to a more inelastic demand backdrop. CPKO is lauric oil which is usually used in the food industry and oleochemicals. We think the higher prices of coconut oil (due to higher China demand) and cocoa (due to harvest failures in Africa) have driven CPKO prices higher in the past two years as CPKO is considered a near-perfect substitute for these commodities.

Fig. 19: Crude palm kernel oil (CPKO) price is trending upward (USD/ton)

Note that CPKO enjoys higher margins

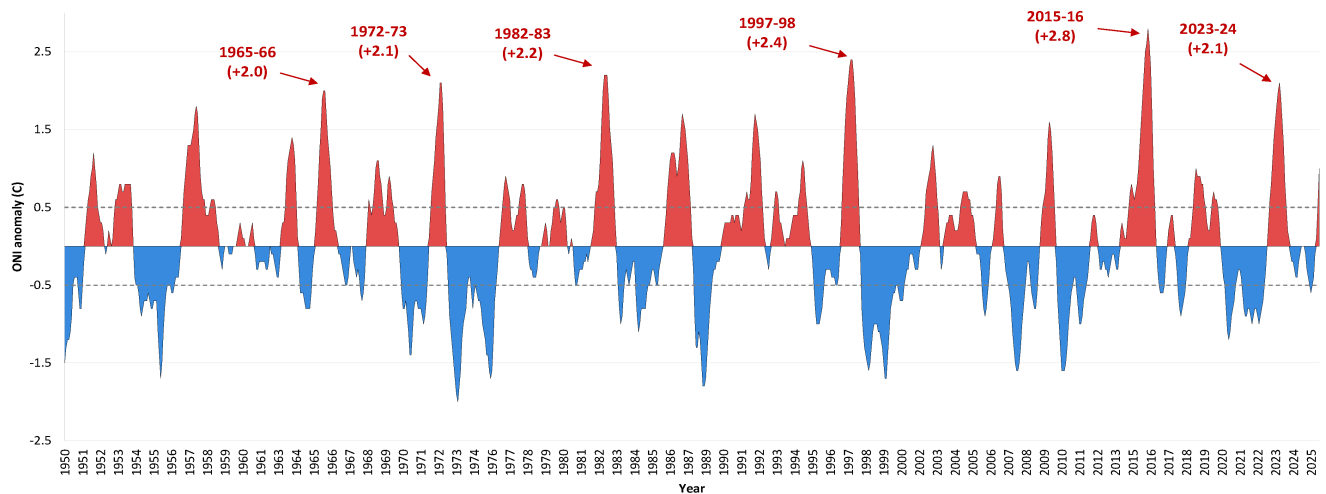


Source: Bloomberg Finance L.P., Nomura research

El Nino is one of the biggest concerns we hear from investors. In our view, the dry-weather stress is supportive of CPO prices, as it tightens the regional supply outlook. We also consider the timing to be relevant; prices tend to respond to supply concerns fairly quickly, while the actual yield impact feeds through to FFB with a 6-12 month lag, which we expect to show up in 2027F rather than this year. This leaves 2H26F as a period of firmer prices alongside still-resilient volumes. Unlike 2015, when Indonesian output fell sharply, we do not see higher prices being fully offset by volumes in the near term,

Fig. 20: Oceanic Nino Index (ONI, 1950-2026) – Cold and warm episodes

Major El Nino events labelled; El Nino (equal or more than +0.5) and La Nina (equal or less than -0.5)

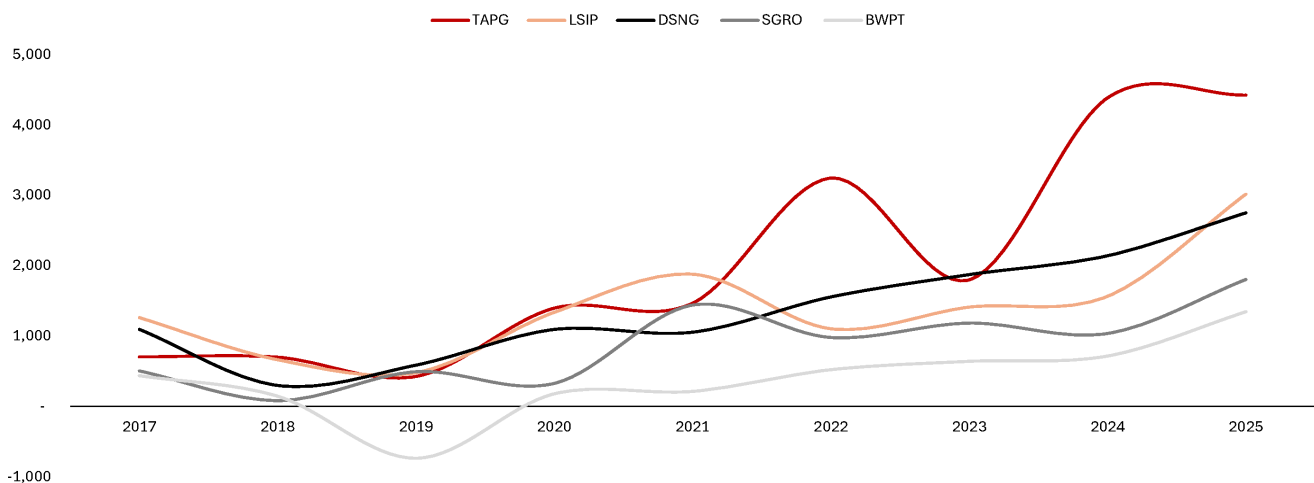


Source: NOAA, Nomura research

Lastly, since there are lots of questions concerning the impact of higher fertilizer prices and levy costs on CPO companies, we emphasize that both costs can usually be mitigated by CPO price hikes. This trend can be observed in CPO firms' operating cash flows and EBIT margins over the past decade – every time there was a substantial adjustment in levy prices during 2019-25 or a spike in fertilizer prices during 2021-22, CPO firms' EBIT margins remained stable or even kept expanding as well as operating cash flows, given rising CPO price levels. When there is a fertilizer price hike, the market tends to expect a potential production yield erosion in the future, which drives up CPO price first. The same holds true for higher levy costs, which are usually triggered by biodiesel blending expansion, and CPO prices move up first. All in all, disruptions in fertilizer prices, biodiesel expansion + levy hike, and El Niño trend are likely to have a positive impact on CPO price movements as well as benefit CPO firms' earnings.

Fig. 21: CPO firms' operating cash flow trend (IDRbn)

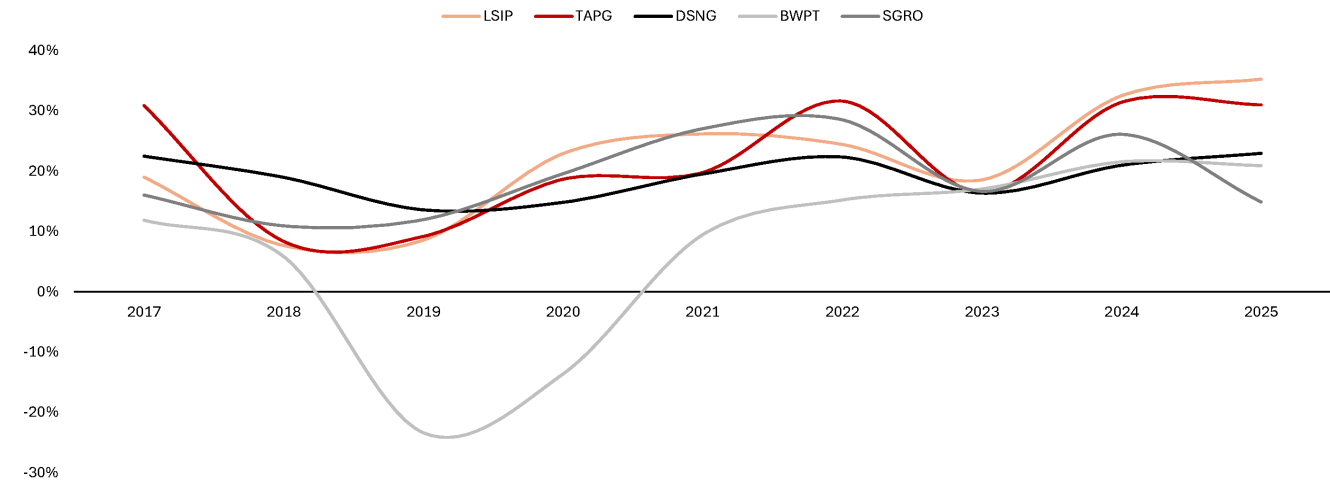
Stronger operating cash flow trend was driven by CPO price hike.



Source: Company data, Nomura research

Fig. 22: CPO firms' EBIT margin trend

Stronger margin trend, thanks to CPO price expansion compensating fertilizer costs and additional levy.



Source: Company data, Nomura research

EQUITY: AGRI-RELATED

One of the best positioned for upcycle

Maintain Buy with a revised TP of IDR2,500

Best positioned among peers to capture the CPO price hike trend

We project CPO to enter a supercycle with sustained hiked CPO prices in the long term. In our view, Triputra Agro Persada (TAPG) can grow faster than domestic peers, given its more productive age profile (15 years old on average); hence, we believe TAPG can hike CPO price hikes and still continue to enjoy sales volume growth. The company also has the lowest cash cost among peers, led by its operational excellence. As a result, TAPG should be able to expand its operating cashflow, in our view. Despite being in a net debt position, it has a manageable maintenance capex; most of the capex will be used for annual replanting so that it can maintain plantation productivity.

Maintain Buy; trim TP to IDR2,500

We raise FY26F NPAT forecast by +1.2% on the back of a stronger CPO price trend. Management is also consistent in paying a high dividend payout ratio of >90%, or an equivalent 13-16% yield in FY26-28F. We expect this high dividend payout to prevail, as we do not expect any M&A or large capex deployment in the near term. Thus, we believe minority shareholders can enjoy both potential capital gains and high dividend yields. We maintain our Buy call on TAPG with a lower TP of IDR2,500 (from IDR2,700), using a lower target P/E of 12x FY26F (from 13x previously) to incorporate higher regulatory risks. We give a discount to ASEAN peer's P/E multiple of 14x (Bloomberg consensus average) as we realize that Indonesia has higher uncertainty risks stemming from government policies. However, we have a higher P/E target for TAPG than for Dharma Satya Nusantara (DSNG IJ, Buy – 10x P/E) and London Sumatra Indonesia (LSIP IJ, Buy – 8x P/E), as we consider TAPG's higher dividend yield generation (13-16% yield for FY26F-28F vs DSNG's 6-9% and LSIP's 7-8%). Currently, the stock trades at 7.6x P/E and 36.5% ROE FY26F. Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (IDR)	Actual	Old	New	Old	New	Old	New	
Revenue (bn)	11,402	12,182	12,368	13,067	13,092	0	13,715	
Reported net profit (bn)	3,702	4,134	4,184	4,988	4,625	0	5,005	
Normalised net profit (bn)	3,702	4,134	4,184	4,988	4,625	0	5,005	
FD normalised EPS	186.51	208.28	210.79	251.28	232.97		252.16	
FD norm. EPS growth (%)	18.7	10.2	13.0	20.6	10.5		8.2	
FD normalised P/E (x)	8.6	–	7.6	–	6.9	–	6.4	
EV/EBITDA (x)	5.9	–	5.2	–	4.8	–	4.4	
Price/book (x)	2.9	–	2.7	–	2.6	–	2.5	
Dividend yield (%)	11.5	–	13.0	–	14.3	–	15.5	
ROE (%)	33.6	35.2	36.5	40.1	38.6		40.3	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash	

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	IDR 2,500
Reduced from IDR	
2,700	
Closing price	IDR 1,610
21 July 2026	
Implied upside	+55.3%
Market Cap (USD mn)	1,787.6
ADT (USD mn)	2.4

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Indonesia Research Team

Raghavendra Divekar, CFA - NSM
raghavendra.divekar@nomura.com
+603 2027 6893

Onshore expert

Sandy Ham (sandy.ham@verdhana.id),

Samuel Christian
(samuel.christian@verdhana.id),

Jody Wijaya (jody.wijaya@verdhana.id),
and

Nayla Yasmin
(nayla.yasmin@verdhana.id),

The onshore experts, who are employed by PT Verdhana Sekuritas Indonesia ("Verdhana") and are not licensed outside Indonesia, have contributed to the content of this report under a partnership agreement between Nomura and Verdhana.

Key data on Triputra Agro Persada

Performance

(%)	1M	3M	12M		
Absolute (IDR)	5.6	-18.1	22.0	M cap (USDmn)	1,787.6
Absolute (USD)	5.0	-21.5	11.2	Free float (%)	11.3
Rel to Jakarta Stock Exchange Composite Index	2.9	-1.9	36.3	3-mth ADT (USDmn)	2.4

Income statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	9,671	11,402	12,368	13,092	13,715
Cost of goods sold	-5,949	-6,905	-7,139	-7,415	-7,495
Gross profit	3,723	4,498	5,229	5,677	6,219
SG&A	-894	-823	-952	-983	-1,042
Employee share expense	0	0	0	0	0
Operating profit	2,829	3,675	4,277	4,694	5,178
EBITDA	3,445	4,382	4,995	5,467	6,015
Depreciation	-617	-708	-718	-773	-838
Amortisation	0	0	0	0	0
EBIT	2,829	3,675	4,277	4,694	5,178
Net interest expense	-11	51	85	127	162
Associates & JCEs	894	1,067	1,102	1,115	1,122
Other income	216	-131	-99	32	31
Earnings before tax	3,927	4,661	5,365	5,969	6,493
Income tax	-686	-816	-968	-1,102	-1,219
Net profit after tax	3,241	3,845	4,397	4,867	5,274
Minority interests	-120	-143	-213	-243	-269
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	3,120	3,702	4,184	4,625	5,005
Extraordinary items	0	0	0	0	0
Reported NPAT	3,120	3,702	4,184	4,625	5,005
Dividends	-3,276	-3,665	-4,142	-4,578	-4,955
Transfer to reserves	-155	37	42	46	50

Valuations and ratios

Reported P/E (x)	10.2	8.6	7.6	6.9	6.4
Normalised P/E (x)	10.2	8.6	7.6	6.9	6.4
FD normalised P/E (x)	10.2	8.6	7.6	6.9	6.4
Dividend yield (%)	10.2	11.5	13.0	14.3	15.5
Price/cashflow (x)	8.4	8.1	6.6	6.0	5.5
Price/book (x)	3.0	2.9	2.7	2.6	2.5
EV/EBITDA (x)	7.4	5.9	5.2	4.8	4.4
EV/EBIT (x)	8.7	6.7	5.9	5.4	5.0
Gross margin (%)	38.5	39.4	42.3	43.4	45.3
EBITDA margin (%)	35.6	38.4	40.4	41.8	43.9
EBIT margin (%)	29.2	32.2	34.6	35.9	37.8
Net margin (%)	32.3	32.5	33.8	35.3	36.5
Effective tax rate (%)	17.5	17.5	18.0	18.5	18.8
Dividend payout (%)	105.0	99.0	99.0	99.0	99.0
ROE (%)	28.8	33.6	36.5	38.6	40.3
ROA (pretax %)	28.8	36.4	40.9	43.2	45.8

Growth (%)

Revenue	16.2	17.9	8.5	5.9	4.8
EBITDA	76.3	27.2	14.0	9.5	10.0
Normalised EPS	94.0	18.7	13.0	10.5	8.2
Normalised FDEPS	94.0	18.7	13.0	10.5	8.2

Source: Company data, Nomura estimates

Cashflow statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,445	4,382	4,995	5,467	6,015
Change in working capital	55	-448	-87	-93	-79
Other operating cashflow	292	28	-93	-70	-172
Cashflow from operations	3,792	3,962	4,815	5,304	5,764
Capital expenditure	-522	-564	-825	-918	-994
Free cashflow	3,269	3,399	3,990	4,386	4,770
Reduction in investments	213	309	-135	-141	-148
Net acquisitions	0	0	0	0	0
Dec in other LT assets	54	-108	101	81	65
Inc in other LT liabilities	-29	34	0	0	0
Adjustments	0	0	0	0	0
CF after investing acts	3,507	3,634	3,956	4,325	4,686
Cash dividends	-3,315	-3,276	-3,665	-4,142	-4,578
Equity issue	0	0	0	0	0
Debt issue	-21	-1	-110	-99	-89
Convertible debt issue	0	0	0	0	0
Others	132	-16	213	243	269
CF from financial acts	-3,204	-3,292	-3,562	-3,999	-4,399
Net cashflow	302	342	394	327	288
Beginning cash	1,007	1,309	1,651	2,046	2,372
Ending cash	1,309	1,651	2,046	2,372	2,660
Ending net debt	-209	-552	-1,056	-1,482	-1,859

Balance sheet (IDRbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,309	1,651	2,046	2,372	2,660
Marketable securities	0	0	0	0	0
Accounts receivable	291	167	178	187	194
Inventories	1,035	1,092	1,129	1,173	1,186
Other current assets	612	1,071	1,124	1,182	1,246
Total current assets	3,247	3,981	4,477	4,914	5,285
LT investments	3,077	2,764	2,899	3,040	3,189
Fixed assets	7,388	7,244	7,351	7,496	7,652
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	595	707	606	526	461
Total assets	14,307	14,697	15,333	15,976	16,587
Short-term debt	770	333	300	270	243
Accounts payable	669	694	708	725	730
Other current liabilities	924	843	843	843	843
Total current liabilities	2,362	1,870	1,851	1,838	1,815
Long-term debt	330	766	690	621	559
Convertible debt	0	0	0	0	0
Other LT liabilities	339	373	373	373	373
Total liabilities	3,031	3,009	2,913	2,831	2,747
Minority interest	469	478	692	934	1,203
Preferred stock	0	0	0	0	0
Common stock	5,321	5,321	5,321	5,321	5,321
Retained earnings	5,954	6,381	6,899	7,382	7,809
Proposed dividends	0	0	0	0	0
Other equity and reserves	-467	-492	-492	-492	-492
Total shareholders' equity	10,808	11,209	11,728	12,210	12,637
Total equity & liabilities	14,307	14,697	15,333	15,976	16,587

Liquidity (x)

Current ratio	1.37	2.13	2.42	2.67	2.91
Interest cover	246.5	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (IDR)	157.19	186.51	210.79	232.97	252.16
Norm EPS (IDR)	157.19	186.51	210.79	232.97	252.16
FD norm EPS (IDR)	157.19	186.51	210.79	232.97	252.16
BVPS (IDR)	544.48	564.69	590.83	615.12	636.64
DPS (IDR)	165.02	184.65	208.68	230.64	249.64

Activity (days)

Days receivable	7.5	7.3	5.1	5.1	5.1
Days inventory	63.0	56.2	56.8	56.7	57.6
Days payable	38.0	36.0	35.8	35.3	35.5
Cash cycle	32.6	27.5	26.0	26.5	27.2

Source: Company data, Nomura estimates

Company profile

TAPG is a CPO produce and seller located in Indonesia. They can be split into two major holdings, AMP (95% ownership) and UTSP (50% ownership). They have 103k ha of plantation land under AMP and 57k ha of plantation land under UTSP.

Valuation Methodology

Our TP of IDR2,500 is derived from FY26F P/E of 12x, lower than regional peers at 14x FY26F P/E (consensus). We use JCI Index as our benchmark.

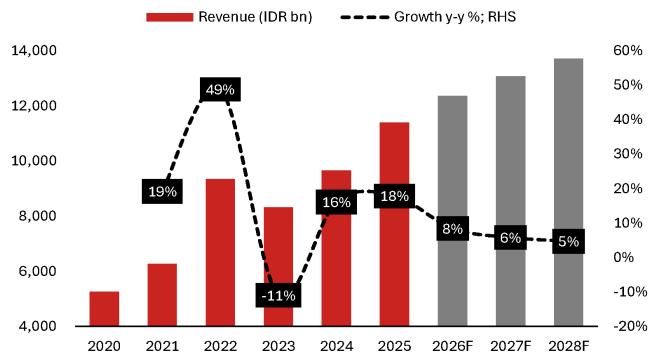
Risks that may impede the achievement of the target price

Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

ESG

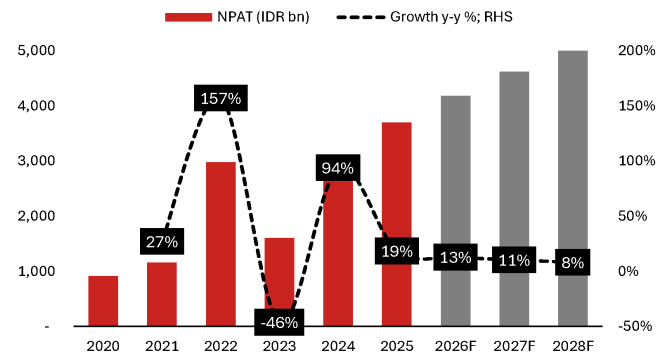
TAPG are in the RSPO and ISPO, the two main ESG licensing for CPO.

Fig. 23: TAPG – Revenue trend



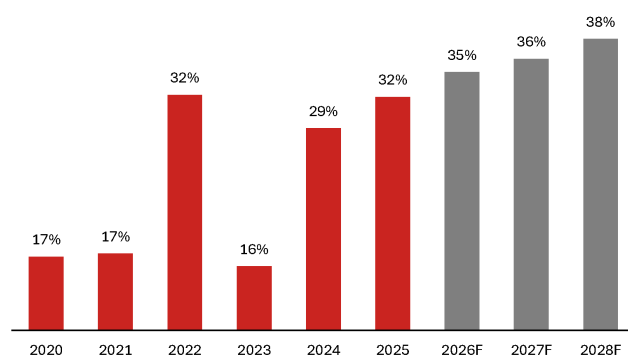
Source: Company data, Nomura estimates

Fig. 24: TAPG – NPAT trend



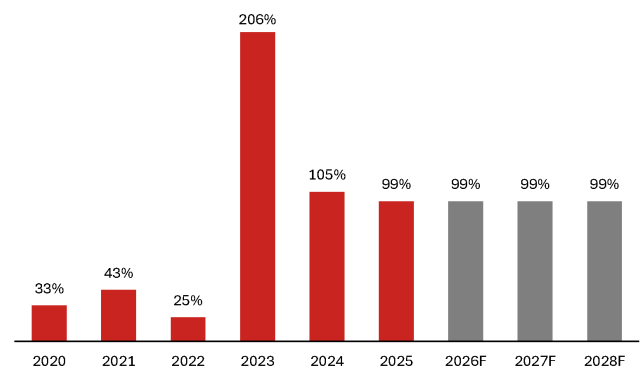
Source: Company data, Nomura estimates

Fig. 25: TAPG – EBIT margin trend



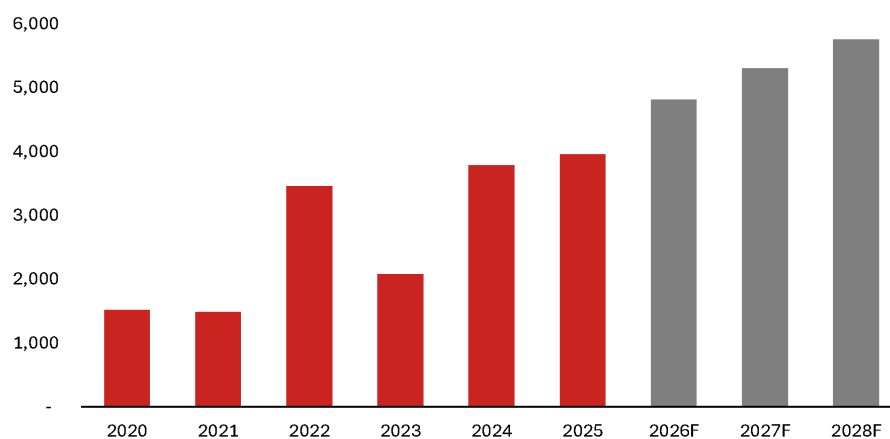
Source: Company data, Nomura estimates

Fig. 26: TAPG – Dividend payout trend



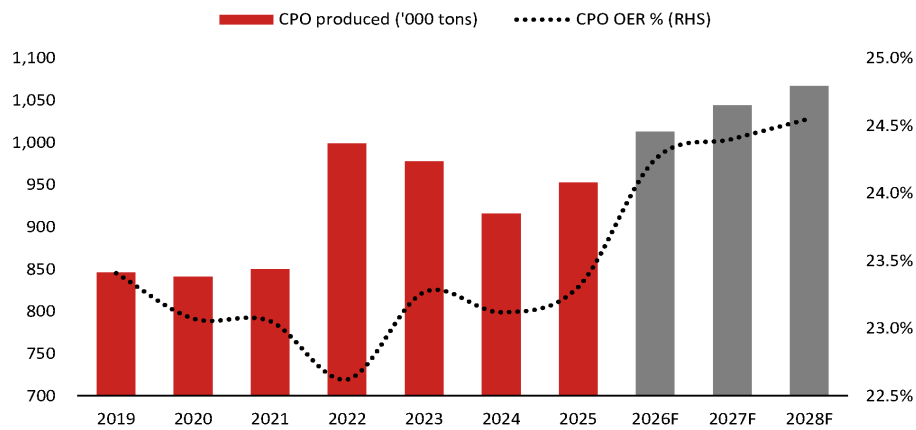
Source: Company data, Nomura estimates

Fig. 27: TAPG – OCF trend (IDR bn)



Source: Company data, Nomura research

Fig. 28: TAPG – Production trend



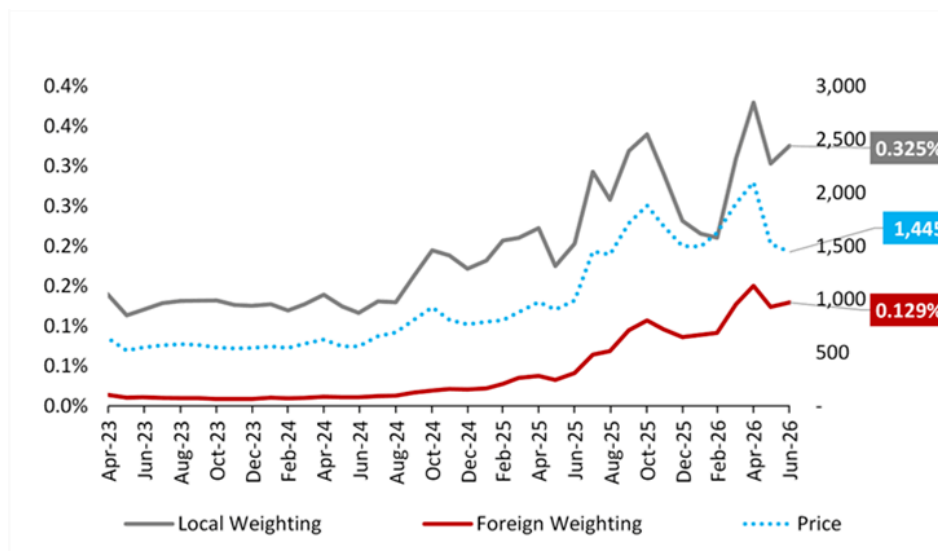
Source: Company data, Nomura estimates

Fig. 29: TAPG – Forward P/E band



Source: Nomura estimates

Fig. 30: TAPG – Ownership structure



Source: KSEI, Nomura research

EQUITY: AGRI-RELATED

Deleveraging to re-rating

Initiate coverage at Buy with a TP of IDR2,100

Favorable supply and demand dynamics

We forecast a 5.7% revenue CAGR FY25-28F driven by rising CPO prices. On the supply side, we expect output to remain constrained on the back of higher fertilizer and solar costs impacting smallholders and estates' yields, while large confiscated plantations face operational disruption and likely underinvestment, which should erode yields further. As for the demand side, we expect incremental demand to come from global biodiesel mandate expansion, with Indonesia expanding to B50 in 2H26F and Malaysia to B12-15 (from B10), alongside geopolitical-driven substitution into edible oils, should support prices. Therefore, tightening supply and broadening demand underpin our constructive CPO price outlook.

Deleveraging as an earnings multiplier

We forecast DSNG to record a 15.3% earnings CAGR over FY25-28F, underpinned by a combination of volume, cost, and financial improvements. We expect DSNG's prime average estate age of ~15 years should deliver above-industry yields, driving down fixed costs per unit, even as fertilizer costs remain elevated. On the financial side, we expect a deleveraging cycle to play out: strong CPO price dynamics translate to improved margins and stronger earnings, enabling accelerated debt repayment, which in turn lowers interest expense, further boosting NPAT. However, the company wants to position itself more aggressively, operating more active replanting programs and downstream business outside the CPO category. Thus, we see potentially additional capex, which may cap near-term upside to the dividend payout ratio.

Initiate coverage at Buy with a TP of IDR2,100, implying 71% upside

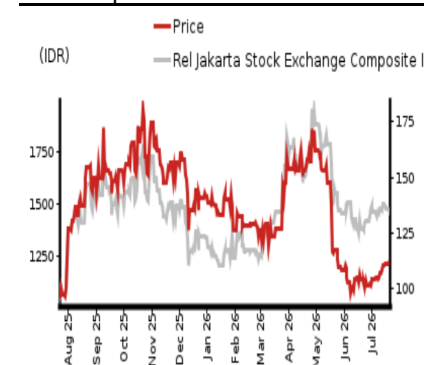
We are bullish on DSNG, as we believe favorable CPO industry dynamics will drive both operational and financial improvements. Thus, we initiate coverage of DSNG with a Buy rating and a TP of IDR2,100, pegged on a 10x P/E FY26F (equivalent to +3 SD to its five-year mean), lower than regional peer average (Bloomberg consensus) P/E of 14x. With our estimated earnings CAGR FY25-28F of 15.3%, even on a conservative 30-40% payout assumption, we estimate DSNG may distribute dividends of up to 7-9% yield for FY27-28F. Currently, the stock trades at a 5.8x P/E and 18% ROE based on FY26F. Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (IDR)	Actual	Old	New	Old	New	Old	New	
Revenue (bn)	12,315	0	13,148	0	13,858	0	14,544	
Reported net profit (bn)	1,840	0	2,236	0	2,491	0	2,824	
Normalised net profit (bn)	1,840	0	2,236	0	2,491	0	2,824	
FD normalised EPS	173.63		210.94		234.97		266.42	
FD norm. EPS growth (%)	61.1		21.5		11.4		13.4	
FD normalised P/E (x)	7.1	—	5.8	—	5.2	—	4.6	
EV/EBITDA (x)	4.6	—	3.8	—	3.2	—	2.6	
Price/book (x)	1.1	—	1.0	—	0.9	—	0.8	
Dividend yield (%)	3.8	—	5.1	—	6.7	—	8.7	
ROE (%)	17.4		18.0		17.5		17.4	
Net debt/equity (%)	30.4		17.9		8.1		net cash	

Source: Company data, Nomura estimates

Rating Starts at	Buy
Target price Starts at	IDR 2,100
Closing price 21 July 2026	IDR 1,230
Implied upside	+70.7%
Market Cap (USD mn)	729.2
ADT (USD mn)	0.8

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Indonesia Research Team

Raghavendra Divekar, CFA - NSM
raghavendra.divekar@nomura.com
+603 2027 6893

Onshore expert

Sandy Ham (sandy.ham@verdhana.id),

Samuel (samuel.christian@verdhana.id), **Christian**

Jody Wijaya (jody.wijaya@verdhana.id), and

Nayla (nayla.yasmin@verdhana.id), **Yasmin**

The onshore experts, who are employed by PT Verdhana Sekuritas Indonesia ("Verdhana") and are not licensed outside Indonesia, have contributed to the content of this report under a partnership agreement between Nomura and Verdhana.

Key data on Dharma Satya Nusantara

Performance

(%)	1M	3M	12M		
Absolute (IDR)	7.9	-28.3	16.0	M cap (USDmn)	729.2
Absolute (USD)	7.3	-31.2	5.8	Free float (%)	33.2
Rel to Jakarta Stock Exchange Composite Index	5.3	-12.1	30.3	3-mth ADT (USDmn)	0.8

Income statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	10,119	12,315	13,148	13,858	14,544
Cost of goods sold	-7,115	-8,465	-8,751	-9,131	-9,400
Gross profit	3,004	3,850	4,397	4,727	5,143
SG&A	-981	-1,035	-1,150	-1,194	-1,245
Employee share expense	0	0	0	0	0
Operating profit	2,023	2,815	3,247	3,534	3,899
EBITDA	2,627	3,520	3,971	4,384	4,861
Depreciation	-604	-705	-724	-851	-962
Amortisation	0	0	0	0	0
EBIT	2,023	2,815	3,247	3,534	3,899
Net interest expense	-529	-440	-325	-262	-171
Associates & JCEs	46	110	110	110	110
Other income	101	15	15	15	15
Earnings before tax	1,640	2,500	3,047	3,396	3,853
Income tax	-499	-671	-823	-917	-1,040
Net profit after tax	1,141	1,829	2,224	2,479	2,812
Minority interests	1	12	12	12	12
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	1,142	1,840	2,236	2,491	2,824
Extraordinary items	0	0	0	0	0
Reported NPAT	1,142	1,840	2,236	2,491	2,824
Dividends	-254	-498	-671	-872	-1,130
Transfer to reserves	888	1,342	1,565	1,619	1,694

Valuations and ratios

Reported P/E (x)	11.4	7.1	5.8	5.2	4.6
Normalised P/E (x)	11.4	7.1	5.8	5.2	4.6
FD normalised P/E (x)	11.4	7.1	5.8	5.2	4.6
Dividend yield (%)	2.0	3.8	5.1	6.7	8.7
Price/cashflow (x)	7.0	5.3	5.1	4.3	3.7
Price/book (x)	1.3	1.1	1.0	0.9	0.8
EV/EBITDA (x)	6.9	4.6	3.8	3.2	2.6
EV/EBIT (x)	8.9	5.7	4.6	4.0	3.3
Gross margin (%)	29.7	31.3	33.4	34.1	35.4
EBITDA margin (%)	26.0	28.6	30.2	31.6	33.4
EBIT margin (%)	20.0	22.9	24.7	25.5	26.8
Net margin (%)	11.3	14.9	17.0	18.0	19.4
Effective tax rate (%)	30.4	26.8	27.0	27.0	27.0
Dividend payout (%)	22.3	27.1	30.0	35.0	40.0
ROE (%)	12.4	17.4	18.0	17.5	17.4
ROA (pretax %)	12.7	17.3	19.3	20.3	21.6

Growth (%)

Revenue	6.5	21.7	6.8	5.4	4.9
EBITDA	25.0	34.0	12.8	10.4	10.9
Normalised EPS	35.6	61.1	21.5	11.4	13.4
Normalised FDEPS	35.6	61.1	21.5	11.4	13.4

Source: Company data, Nomura estimates

Cashflow statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,627	3,520	3,971	4,384	4,861
Change in working capital	123	-66	-314	-204	-186
Other operating cashflow	-881	-997	-1,108	-1,120	-1,137
Cashflow from operations	1,870	2,457	2,548	3,060	3,538
Capital expenditure	-1,097	-653	-920	-1,220	-1,282
Free cashflow	774	1,804	1,629	1,840	2,256
Reduction in investments	-854	-137	-110	-110	-110
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	4	0	0	0	0
CF after investing acts	-76	1,666	1,519	1,730	2,146
Cash dividends	-233	-254	-498	-671	-872
Equity issue	0	0	0	0	0
Debt issue	175	-1,630	-823	-1,296	-928
Convertible debt issue	0	0	0	0	0
Others	302	254	87	90	93
CF from financial acts	243	-1,630	-1,234	-1,876	-1,707
Net cashflow	167	36	285	-146	438
Beginning cash	390	557	593	877	731
Ending cash	557	593	877	731	1,169
Ending net debt	5,156	3,490	2,382	1,233	-133

Balance sheet (IDRbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	557	593	877	731	1,169
Marketable securities	0	0	0	0	0
Accounts receivable	376	377	581	611	640
Inventories	1,225	1,380	1,538	1,605	1,652
Other current assets	739	772	772	772	772
Total current assets	2,897	3,123	3,769	3,719	4,234
LT investments	1,387	1,524	1,634	1,744	1,854
Fixed assets	12,050	11,987	12,183	12,552	12,872
Goodwill	212	207	207	207	207
Other intangible assets	0	0	0	0	0
Other LT assets	867	776	776	776	776
Total assets	17,412	17,617	18,569	18,999	19,944
Short-term debt	1,257	911	722	575	458
Accounts payable	516	460	599	575	541
Other current liabilities	757	937	845	762	687
Total current liabilities	2,530	2,308	2,166	1,912	1,686
Long-term debt	4,457	3,172	2,538	1,390	578
Convertible debt	0	0	0	0	0
Other LT liabilities	528	494	395	316	253
Total liabilities	7,515	5,974	5,099	3,617	2,516
Minority interest	174	162	174	185	197
Preferred stock	0	0	0	0	0
Common stock	891	891	891	891	891
Retained earnings	6,497	8,086	9,824	11,644	13,596
Proposed dividends	0	0	0	0	0
Other equity and reserves	2,335	2,503	2,581	2,661	2,743
Total shareholders' equity	9,723	11,481	13,296	15,196	17,230
Total equity & liabilities	17,412	17,617	18,569	18,999	19,944

Liquidity (x)

Current ratio	1.15	1.35	1.74	1.95	2.51
Interest cover	3.8	6.4	10.0	13.5	22.8

Leverage

Net debt/EBITDA (x)	1.96	0.99	0.60	0.28	net cash
Net debt/equity (%)	53.0	30.4	17.9	8.1	net cash

Per share

Reported EPS (IDR)	107.78	173.63	210.94	234.97	266.42
Norm EPS (IDR)	107.78	173.63	210.94	234.97	266.42
FD norm EPS (IDR)	107.78	173.63	210.94	234.97	266.42
BVPS (IDR)	917.31	1,083.09	1,254.35	1,433.58	1,625.52
DPS (IDR)	24.00	47.00	63.28	82.24	106.57

Activity (days)

Days receivable	12.9	11.2	13.3	15.7	15.7
Days inventory	62.9	56.2	60.9	62.8	63.4
Days payable	26.5	21.1	22.1	23.5	21.7
Cash cycle	49.3	46.3	52.1	55.0	57.4

Source: Company data, Nomura estimates

Company profile

PT Dharma Satya Nusantara Tbk (DSN Group) is an Indonesian palm oil producer established in 1980. The company conducted its IPO on the Indonesia Stock Exchange in 2013, under the ticker DSNG. DSNG operates through three key segments, namely Palm Oil (~88% of revenue), Wood Products (~10%), and Renewable Energy/Others (~2%).

Valuation Methodology

Our TP of IDR2,100 is based on a 10x P/E FY26F (equivalent to +3 SD to its five-year mean), lower than regional peers' (consensus) P/E of 14x. The benchmark is using the JCI Index.

Risks that may impede the achievement of the target price

Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

ESG

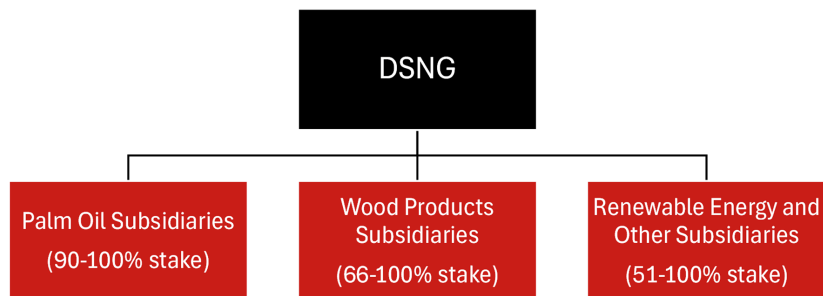
DSNG shows its strong commitment in ESG through its wide range of initiatives. It holds RSPO and ISPO certification across mills, and an NDPE policy covering no deforestation, no peat, and no exploitation that extends to its entire supply chain, with 96.2% traceability to plantation level achieved in 2024. The company has set aside ~10,500 ha (~9% of planted area) for conservation, actively manages orangutan habitat in East Kalimantan, and operates Bio-CNG plants that convert POME waste into compressed natural gas rather than releasing methane into the atmosphere.

Company overview

PT Dharma Satya Nusantara Tbk (DSN Group) is an Indonesian palm oil producer established in 1980. The company conducted its IPO on the Indonesia Stock Exchange in 2013, under the ticker DSNG.

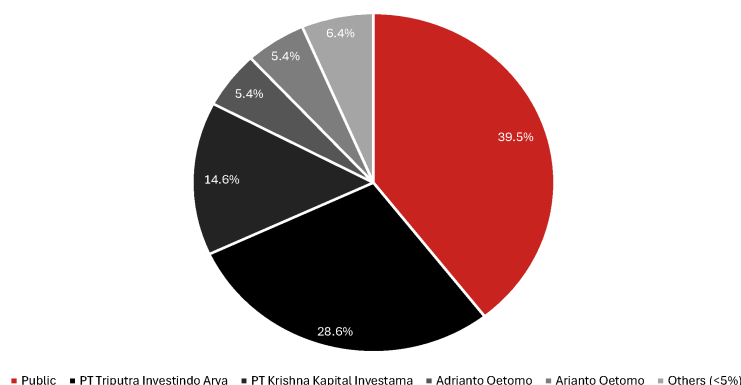
Initially, DSNG was mainly engaged in the timber industry. The company now operates through three key segments: Palm Oil (~88% of revenue), Wood Products (~10%), and Renewable Energy/Others (~2%). Its main palm oil products are CPO, palm kernel (PK), and palm kernel oil (PKO), while its wood products include blockboard, plywood, panel, and engineered flooring. It also produces Bio-CNG from palm oil mill effluent.

Fig. 31: DSNG – Corporate structure



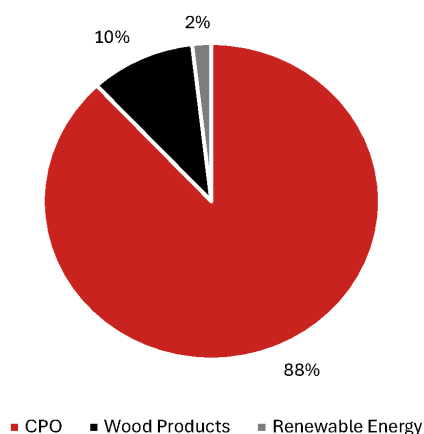
Source: Company data, Nomura research

Fig. 32: DSNG – Shareholder structure



Source: Company data, Nomura research

Fig. 33: DSNG – Sales breakdown (FY25)



Source: Company data, Nomura research

DSNG's oil palm plantations are located across Kalimantan, with a total planted area of 111.9K ha and an average tree age of ~15 years as of FY25. Of this, 63% is composed of prime mature trees. East Kalimantan is the company's dominant operational hub, accounting for nearly 75% of DSNG's CPO production; the company operates 12 palm oil mills with total processing capacity of 675 tons FFB/hour, plus one kernel crushing plant. Beyond its own concessions, DSNG holds a 35% stake in PT REA Kaltim Plantations (unlisted), which manages around 35K ha in East Kalimantan with a capacity of 240 tons/hour and two methane capture plants.

Fig. 34: DSNG – Mill heatmap



Source: Company data, Nomura research

Investment thesis

A constructive CPO up-cycle: supply tightens as demand broadens

We expect the CPO industry to enter a constructive phase, underpinned by tightening supply and broadening demand. On the supply side, rising fertilizer and solar costs are weighing on smallholder and estate yields, while large plantations confiscated by the government face operational disruption and likely underinvestment, capping output growth. On the demand side, Indonesia's biodiesel mandate expansion to B50 in 2H26F and Malaysia's move to B12-15 (from B10), alongside geopolitical-driven substitution into edible oils, are widening the demand base. Together, these dynamics underpin our constructive outlook on CPO prices going forward.

Prime estate age drives above-industry yields and margin expansion

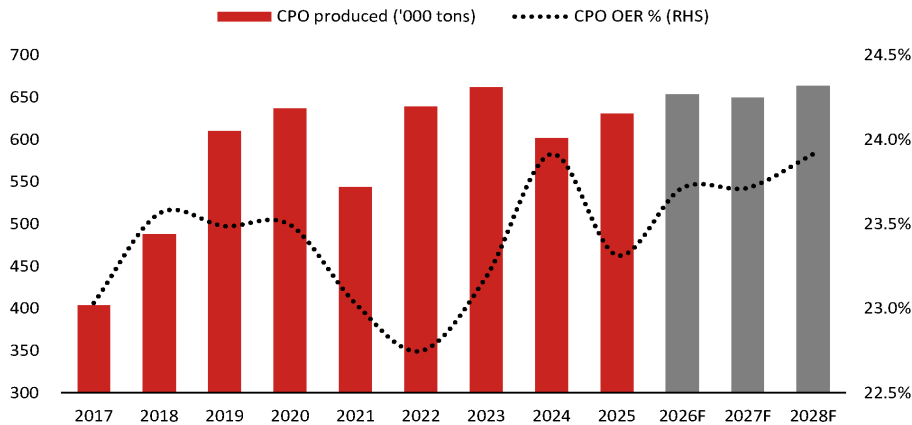
In our view DSNG is well positioned to capitalize on this industry backdrop. With a prime average estate age of ~15 years, the company sits at peak biological yield, which we expect to translate into above-industry FFB yields of 21-22 tons/ha (vs its five-year average of 20 tons/ha) and CPO extraction rates of 24% in FY26-28F. We expect his operational efficiency to drive down fixed costs per unit, supporting margin expansion even as fertilizer costs remain elevated. We forecast a 5.7% revenue CAGR over FY25-28F, with EBIT margins expanding from 22.9% in FY25 to 26.8% in FY28F.

Deleveraging to net cash is the earnings multiplier

Beyond operations, we see deleveraging as a key earnings multiplier for DSNG. The company carried a net debt of IDR3.5tn (30% net gearing) as of FY25, but stronger CPO-driven margins should enable accelerated debt repayment over our forecast horizon, progressively lowering interest expense and amplifying NPAT growth. We forecast a

15.3% earnings CAGR over FY25-28F, with debt levels reaching net cash by 2028F. As leverage normalizes, we expect dividend payments to grow in tandem; management currently guides a 30% payout ratio, potentially translating into a 7-9% yield by 2027-28F, assuming a conservative 30-40% payout ratio over FY26-28F.

Fig. 35: DSNG - Production trend



Source: Company data, Nomura estimates

Catalysts

1. CPO price upside from tighter-than-expected supply and stronger biodiesel mandate execution;
2. Above-industry FFB yields driven by prime estate age of ~15 years, translating into better-than-expected margin expansion; and
3. Faster-than-expected deleveraging, reducing interest expense and amplifying NPAT growth, with potential for payout ratio re-rating beyond the current 30% guidance.

Financial summary

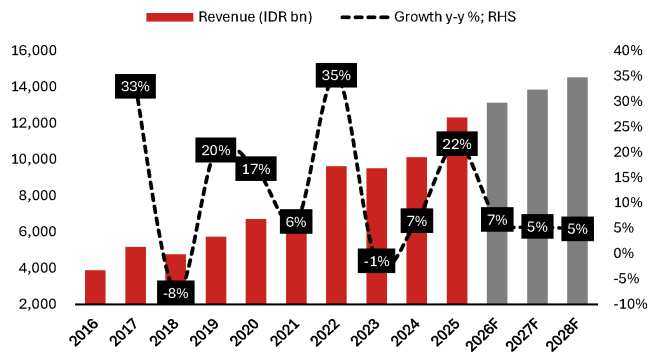
We forecast DSNG to deliver a revenue CAGR of 5.7% over FY25-28F, from IDR12,315bn in FY25 to IDR14,544bn in FY28F, driven primarily by CPO ASP improvement with timid volume growth. We project CPO ASP to rise from IDR14,470/kg in FY25 to IDR16,585/kg in FY28F, while CPO sales volume grows modestly from 629mn tons to 664mn tons over the same period, reflecting above-industry FFB yields from DSNG's prime estate age profile.

On margins, we expect a steady expansion trajectory underpinned by operating leverage and contained unit costs. EBIT margins are forecast to widen from 22.9% in FY25 to 26.8% in FY28F, as higher CPO prices flow through to the top line while fixed costs per unit decline on the back of above-industry yields. Fertilizer costs remain an upside risk to our margin assumptions, though we expect this to be offset by structurally rising CPO prices.

We forecast DSNG to record a 15.3% earnings CAGR over FY25-28F, with NPAT growing from IDR1,840bn in FY25 to IDR2,824bn in FY28F. This earnings growth is underpinned by a combination of revenue expansion, margin improvement, and declining interest expense as deleveraging progresses. EPS is forecast to grow from IDR174 in FY25 to IDR266 in FY28F, with the stock currently trading at 5.8x FY26F P/E, a meaningful discount to regional peers at 14x (consensus average).

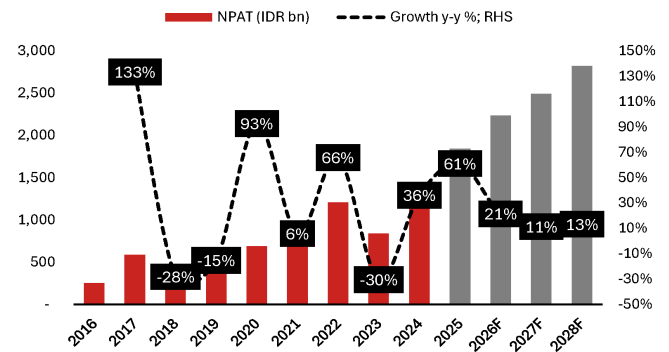
On the balance sheet, DSNG currently carries net debt of IDR3.5tn as of FY25, with net gearing of 30%. We expect strong OCF generation, rising from IDR2.5tn in FY26F to IDR3.5tn in FY28F, to fund accelerated debt repayment, driving net gearing down from 30% in FY25 to net cash by FY28F. Dividends are expected to grow in line with earnings, with management guiding a 30% payout ratio, though we conservatively see scope for this to rise, potentially delivering a 7-9% yield by FY27-28F.

Fig. 36: DSNG – Revenue trend



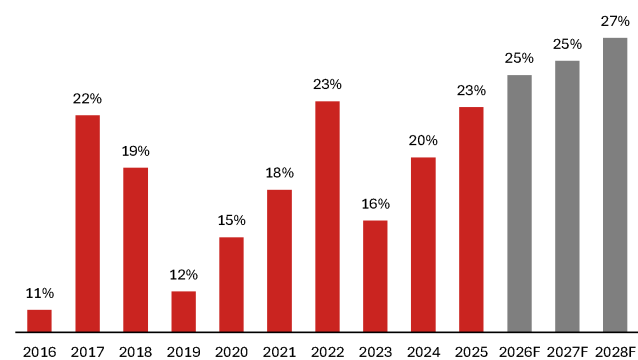
Source: Company data, Nomura estimates

Fig. 37: DSNG – NPAT trend



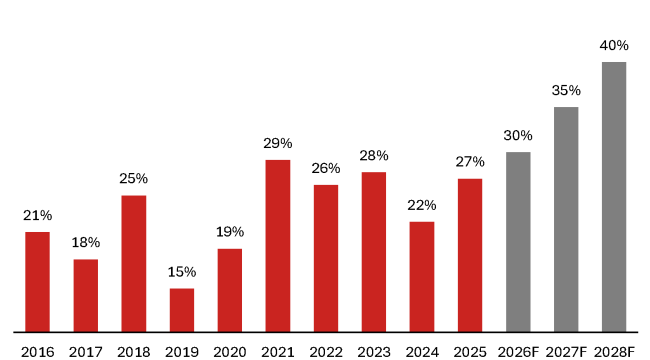
Source: Company data, Nomura estimates

Fig. 38: DSNG – EBIT margin trend



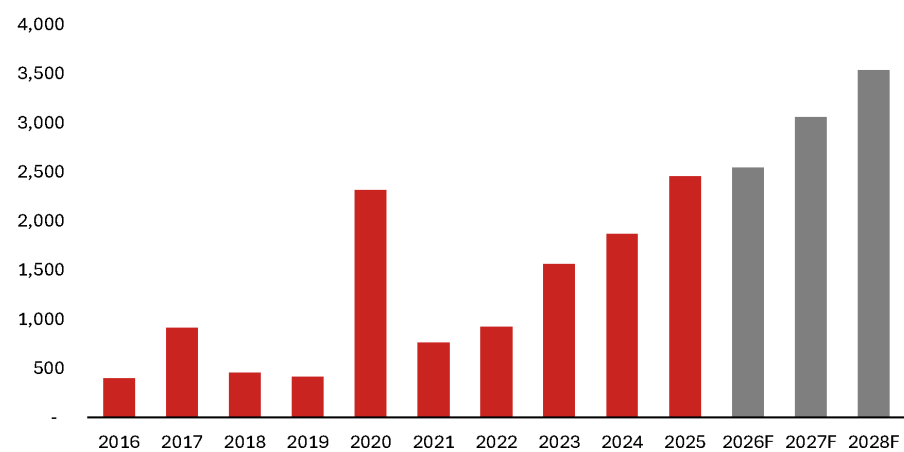
Source: Company data, Nomura estimates

Fig. 39: DSNG – Dividend payout trend



Source: Company data, Nomura estimates

Fig. 40: DSNG – OCF trend



Source: Company data, Nomura research

Fig. 41: DSNG vs Bloomberg consensus comparison

DSNG IJ IDR bn	Nomura			Consensus			Nomura vs Cons Δ		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	13,148	13,858	14,544	13,373	13,531	14,364	-1.7%	2.4%	1.3%
EBIT	3,247	3,534	3,899	3,168	3,186	3,448	2.5%	10.9%	13.1%
NPAT	2,236	2,491	2,824	2,213	2,301	2,553	1.0%	8.2%	10.6%
GPM	33%	34%	35%	32%	31%	31%	1.6%	2.6%	4.1%
EBITM	25%	25%	27%	24%	24%	24%	1.0%	2.0%	2.8%
NPM	17%	18%	19%	17%	17%	18%	0.5%	1.0%	1.6%

Source: Bloomberg Finance L.P., Nomura estimates

Valuation

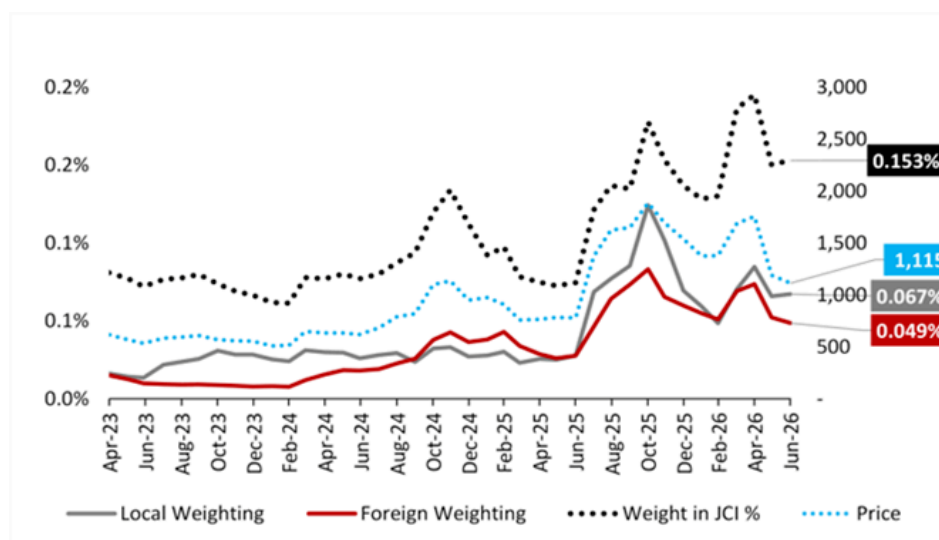
We value DSNG based on a FY26F P/E of 10x (equivalent to +3 SD to its five-year mean), lower than regional peers' (consensus) P/E of 14x, resulting in our TP of IDR2,100. Currently, the stock trades at a FY26F P/E of 5.8x and ROE of 18% ROE.

Fig. 42: DSNG – Forward P/E band



Source: Nomura estimates

Fig. 43: DSNG – Ownership structure



Source: KSEI, Nomura research

Downside risks

1. Lower-than-expected CPO prices, stemming from weaker biodiesel mandate execution, or a broad commodity selloff driven by a global demand slowdown;
2. Fertilizer cost inflation exceeding expectations, compressing margins and delaying the deleveraging cycle; and
3. Unfavorable regulatory changes to Indonesia's CPO policy framework, which could weigh on realized prices and earnings.

ESG

DSNG shows its strong commitment in ESG through its wide range of initiatives. It holds RSPO and ISPO certification across mills, and an NDPE policy covering no deforestation, no peat, and no exploitation that extends to its entire supply chain, with 96.2% traceability to plantation level achieved in 2024. The company has set aside ~10,500 ha (~9% of planted area) for conservation, actively manages an orangutan habitat in East Kalimantan, and operates Bio-CNG plants that convert POME waste into compressed natural gas rather than releasing methane into the atmosphere.

EQUITY: AGRI-RELATED

Too cheap to ignore

Initiate coverage at Buy with a TP of IDR2,450

Supportive CPO prices underpin a debt-free earnings base

We expect CPO prices to stay elevated, driven by Indonesia biodiesel mandate expansion, sustaining LSIP's earnings power. The nationwide B50 mandate, effective July 2026, is estimated by GAPKI to absorb an additional ~4mn tons of CPO demand, keeping domestic prices firm. We forecast stable revenue growth going forward (+3.5% CAGR FY25-28F) driven by higher CPO prices, while output remains flattish due to aging estates. We expect elevated ASP to also support margin expansion, and in addition to zero interest-bearing debt, we forecast a solid NPAT CAGR of +7.6% over FY25-28F.

Yet the market prices the estates at almost nothing

At its current price of IDR1,340 (21-Jul), LSIP trades at just 4.4x FY26F P/E and 0.6x P/BV – less than a third of regional peers at 14x (Bloomberg consensus average). The disconnect is the starkest on cash: net cash of IDR7.6tn is ~83% of market capitalization, so stripping it out values the entire operating plantation at ~0.6x FY26F earnings. Cash per share is ~IDR1,114 today and, on our forecasts, rises to ~IDR1,803 by FY28F – cash alone would exceed today's share price within three years. Hence, at this price the cash is not a drag but a floor under the equity, with free optionality on any capital return, in our view.

Initiate coverage at Buy with TP of IDR2,450, implying 83% upside

Our TP is based on 8x P/E FY26F – lower compared to DSNG and TAPG due to an older age profile for its trees, translating to slower volume growth; the valuation target is still a notable discount to regional peers at 14x. We view LSIP's current valuation of 4.4x to be significantly undemanding. We note that a 30% payout delivers a decent 7-8% dividend yield for FY26-28F, and the company's large IDR7.6tn cash position provides room for corporate action, which could further result in a stock re-rating. Key downside risks include lower-than-expected CPO prices, adverse regulatory changes, and unfavorable use of cash, which may keep the valuation discount wide.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (IDR)	Actual	Old	New	Old	New	Old	New	
Revenue (bn)	5,512	0	5,850	0	5,965	0	6,115	
Reported net profit (bn)	1,885	0	2,085	0	2,196	0	2,347	
Normalised net profit (bn)	1,885	0	2,085	0	2,196	0	2,347	
FD normalised EPS	276.39		305.67		321.99		344.21	
FD norm. EPS growth (%)	27.6		10.6		5.3		6.9	
FD normalised P/E (x)	4.8	–	4.4	–	4.2	–	3.9	
EV/EBITDA (x)	0.7	–	0.1	–	-0.6	–	-1.2	
Price/book (x)	0.7	–	0.6	–	0.5	–	0.5	
Dividend yield (%)	6.2	–	6.9	–	7.2	–	7.7	
ROE (%)	14.2		14.1		13.5		13.1	
Net debt/equity (%)	net cash		net cash		net cash		net cash	

Source: Company data, Nomura estimates

Rating Starts at	Buy
Target price Starts at	IDR 2,450
Closing price 21 July 2026	IDR 1,340
Implied upside	+82.8%
Market Cap (USD mn)	511.1
ADT (USD mn)	1.1

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Indonesia Research Team

Raghavendra Divekar, CFA - NSM
 raghavendra.divekar@nomura.com
 +603 2027 6893

Onshore expert

Sandy Ham (sandy.ham@verdhana.id),

Samuel Christian
 (samuel.christian@verdhana.id),

Jody Wijaya (jody.wijaya@verdhana.id),
 and

Nayla Yasmin
 (nayla.yasmin@verdhana.id),

The onshore experts, who are employed by PT Verdhana Sekuritas Indonesia ("Verdhana") and are not licensed outside Indonesia, have contributed to the content of this report under a partnership agreement between Nomura and Verdhana.

Key data on PP London Sumatra Indonesia

Performance

(%)	1M	3M	12M		
Absolute (IDR)	2.3	-21.9	1.1	M cap (USDmn)	511.1
Absolute (USD)	1.7	-25.1	-7.8	Free float (%)	40.0
Rel to Jakarta Stock Exchange Composite Index	-0.3	-5.7	15.4	3-mth ADT (USDmn)	1.1

Income statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	4,563	5,512	5,850	5,965	6,115
Cost of goods sold	-2,571	-3,250	-3,328	-3,346	-3,371
Gross profit	1,992	2,261	2,522	2,619	2,745
SG&A	-288	-321	-359	-372	-387
Employee share expense	0	0	0	0	0
Operating profit	1,704	1,940	2,164	2,247	2,358
EBITDA	2,362	2,266	2,494	2,582	2,700
Depreciation	-658	-326	-330	-335	-342
Amortisation	0	0	0	0	0
EBIT	1,704	1,940	2,164	2,247	2,358
Net interest expense	216	275	280	343	438
Associates & JCEs	6	-6	-6	-6	-6
Other income	-153	68	89	63	44
Earnings before tax	1,773	2,278	2,527	2,647	2,833
Income tax	-297	-391	-441	-450	-484
Net profit after tax	1,476	1,886	2,086	2,197	2,349
Minority interests	1	-1	-1	-1	-1
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	1,477	1,885	2,085	2,196	2,347
Extraordinary items	0	0	0	0	0
Reported NPAT	1,477	1,885	2,085	2,196	2,347
Dividends	-443	-566	-626	-659	-705
Transfer to reserves	1,034	1,319	1,459	1,537	1,643

Valuations and ratios

Reported P/E (x)	6.2	4.8	4.4	4.2	3.9
Normalised P/E (x)	6.2	4.8	4.4	4.2	3.9
FD normalised P/E (x)	6.2	4.8	4.4	4.2	3.9
Dividend yield (%)	4.9	6.2	6.9	7.2	7.7
Price/cashflow (x)	5.7	3.1	4.1	3.5	3.5
Price/book (x)	0.7	0.7	0.6	0.5	0.5
EV/EBITDA (x)	1.6	0.7	0.1	-0.6	-1.2
EV/EBIT (x)	2.2	0.8	0.1	-0.7	-1.3
Gross margin (%)	43.7	41.0	43.1	43.9	44.9
EBITDA margin (%)	51.8	41.1	42.6	43.3	44.1
EBIT margin (%)	37.3	35.2	37.0	37.7	38.6
Net margin (%)	32.4	34.2	35.6	36.8	38.4
Effective tax rate (%)	16.8	17.2	17.5	17.0	17.1
Dividend payout (%)	30.0	30.0	30.0	30.0	30.0
ROE (%)	12.4	14.2	14.1	13.5	13.1
ROA (pretax %)	20.9	23.7	27.0	28.0	29.6

Growth (%)

Revenue	8.9	20.8	6.1	2.0	2.5
EBITDA	69.9	-4.1	10.0	3.6	4.5
Normalised EPS	93.8	27.6	10.6	5.3	6.9
Normalised FDEPS	93.8	27.6	10.6	5.3	6.9

Source: Company data, Nomura estimates

Cashflow statement (IDRbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,362	2,266	2,494	2,582	2,700
Change in working capital	-530	804	-201	50	-69
Other operating cashflow	-234	-131	-72	-44	-3
Cashflow from operations	1,598	2,939	2,221	2,588	2,627
Capital expenditure	-215	-406	-266	-291	-310
Free cashflow	1,383	2,534	1,954	2,297	2,317
Reduction in investments	-6	6	0	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-163	55	-6	-6	-6
CF after investing acts	1,213	2,594	1,949	2,291	2,312
Cash dividends	-266	-443	-566	-626	-659
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	-5	-7	0	0	0
CF from financial acts	-271	-450	-566	-626	-659
Net cashflow	942	2,144	1,383	1,665	1,652
Beginning cash	4,511	5,454	7,597	8,980	10,645
Ending cash	5,454	7,597	8,980	10,645	12,297
Ending net debt	-5,454	-7,597	-8,980	-10,645	-12,297

Balance sheet (IDRbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,454	7,597	8,980	10,645	12,297
Marketable securities	0	0	0	0	0
Accounts receivable	684	227	386	313	348
Inventories	620	614	633	641	650
Other current assets	359	261	261	261	261
Total current assets	7,117	8,699	10,260	11,861	13,557
LT investments	1,265	1,260	1,260	1,260	1,260
Fixed assets	5,050	5,129	5,066	5,022	4,990
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	409	452	452	452	452
Total assets	13,842	15,540	17,037	18,594	20,258
Short-term debt	0	0	0	0	0
Accounts payable	246	329	345	362	361
Other current liabilities	432	591	552	521	496
Total current liabilities	678	920	898	883	858
Long-term debt	0	0	0	0	0
Convertible debt	0	0	0	0	0
Other LT liabilities	607	624	624	624	624
Total liabilities	1,285	1,544	1,521	1,506	1,481
Minority interest	-2	-4	-2	-1	0
Preferred stock	0	0	0	0	0
Common stock	1,709	1,709	1,709	1,709	1,709
Retained earnings	10,835	12,276	13,794	15,364	17,052
Proposed dividends	0	0	0	0	0
Other equity and reserves	15	15	15	15	15
Total shareholders' equity	12,559	14,000	15,519	17,088	18,777
Total equity & liabilities	13,842	15,540	17,037	18,594	20,258

Liquidity (x)

Current ratio	10.50	9.45	11.43	13.43	15.81
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (IDR)	216.56	276.39	305.67	321.99	344.21
Norm EPS (IDR)	216.56	276.39	305.67	321.99	344.21
FD norm EPS (IDR)	216.56	276.39	305.67	321.99	344.21
BVPS (IDR)	1,841.53	2,052.79	2,275.46	2,505.66	2,753.17
DPS (IDR)	65.00	83.00	91.79	96.69	103.37

Activity (days)

Days receivable	36.0	30.2	19.1	21.4	19.8
Days inventory	74.6	69.3	68.4	69.5	70.1
Days payable	37.1	32.3	37.0	38.6	39.3
Cash cycle	73.5	67.1	50.5	52.3	50.6

Source: Company data, Nomura estimates

Company profile

PT Perusahaan Perkebunan London Sumatra Indonesia Tbk, or "Lonsum," is an Indonesian agribusiness company founded in 1906. Lonsum listed on the Indonesia Stock Exchange in 1996 under the ticker LSIP. In 2007, PT Salim Ivomas Pratama Tbk (SIMP) acquired a majority stake, bringing LSIP into the broader PT Indofood Sukses Makmur Tbk (INDF) group. The company operates through four key segments, namely Oil Palm Products (~85% of revenue), Rubber (~8%), Seeds (~5%), and Others (~2%, comprising cocoa and tea).

Valuation Methodology

Our TP of IDR2,450 is based on an 8x P/E FY26F, below DSNG's 10x and TAPG's 12x, and at a discount towards regional peers' valuation of 14x. The benchmark is using the JCI Index.

Risks that may impede the achievement of the target price

Key downside risks include lower-than-expected CPO prices, adverse regulatory changes, and unfavorable use of cash which may keep the valuation discount wide.

ESG

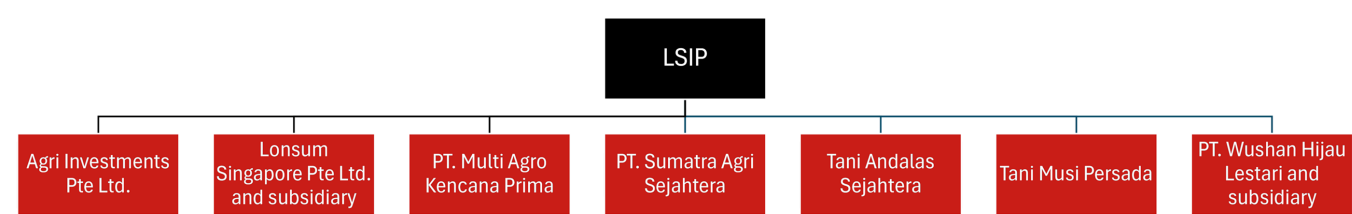
LSIP achieved 247,000 tonnes of ISPO-certified CPO by end-2024, equal to 97% of total nucleus CPO production, and operates under a Sustainable Agriculture Policy committing it to zero deforestation, zero planting on high-carbon-stock and peat areas, and zero burning for land clearance, supported by its SumBio R&D center for sustainable seed genetics. This policy extends to plasma smallholders and third-party suppliers, and LSIP assists both plasma and independent farmers, some of whom have obtained RSPO certification through its programs. Moreover, the Sustainable Agriculture Policy is approved and signed at Board level, the Board of Commissioners includes independent commissioners, and the company reports to GRI standards in line with OJK regulation. As part of the Salim/IndoAgri group, related-party oversight and minority protection remain the key governance considerations for a controlled entity of this type.

Company overview

PT Perusahaan Perkebunan London Sumatra Indonesia Tbk, or “Lonsum,” is an Indonesian agribusiness company with roots tracing back to 1906, making it one of the oldest plantation companies in the country. Originally founded in Medan, North Sumatra by British firm Harrisons & Crosfield Plc (unlisted), Lonsum was listed on the Indonesia Stock Exchange in 1996 under the ticker LSIP. In 2007, Salim Ivomas Pratama (SIMP IJ, Not rated), a subsidiary of Indofood Agri Resources Ltd. (unlisted), acquired a majority stake, bringing LSIP into the broader Indofood Sukses Makmur (INDF IJ, Buy) group, where it has remained since.

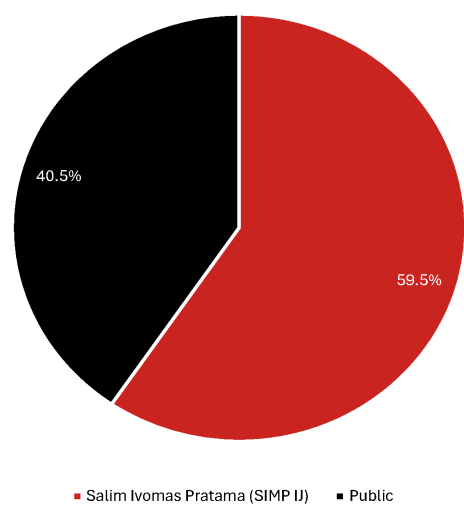
Initially, LSIP’s crop portfolio was anchored in rubber, tea, and cocoa. The company now operates through four key segments: Palm Products (~95% of revenue), Rubber (~3%), Seeds (~1%), and Others (~1%). Its main palm products are CPO, palm kernel (PK), and palm kernel oil (PKO).

Fig. 44: LSIP – Corporate structure

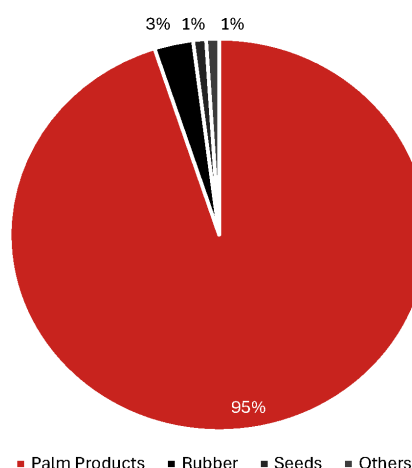


Source: Company data, Nomura research

Fig. 45: LSIP – Shareholder structure

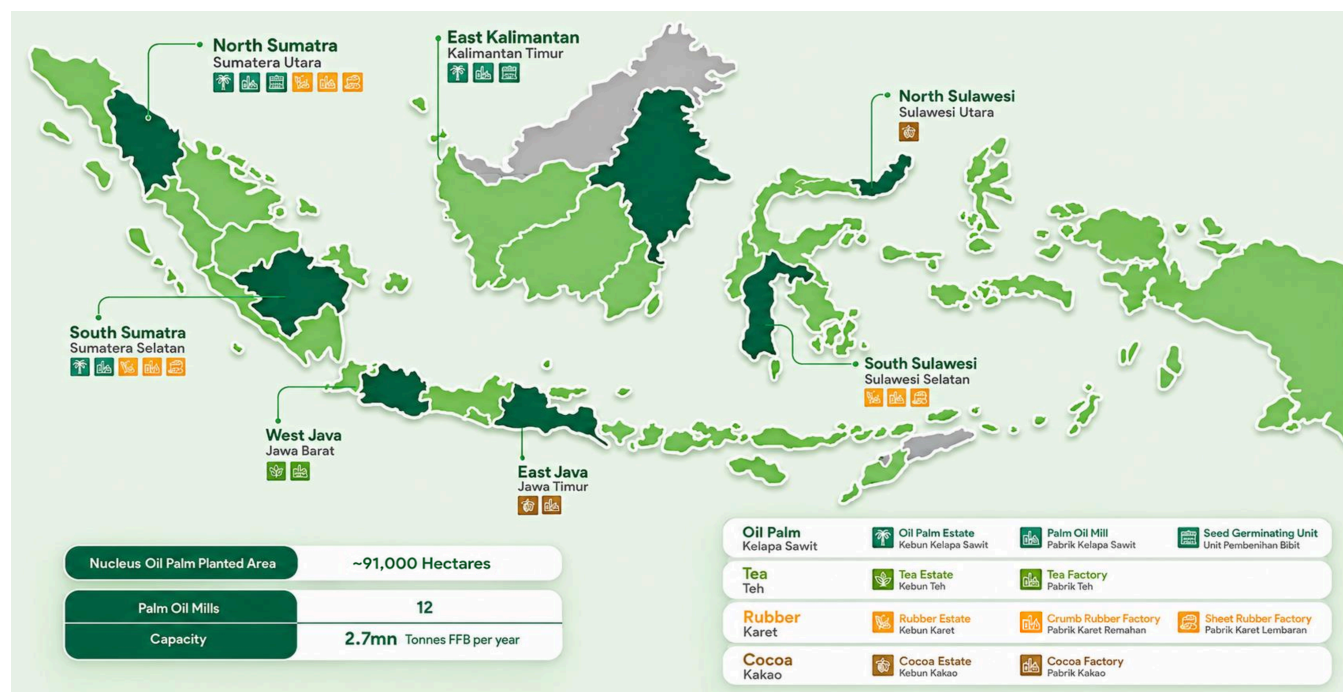


Source: Company data, Nomura research

Fig. 46: LSIP – Sales breakdown (FY25)

Source: Company data, Nomura research

Lonsum's plantations are distributed across Sumatra, Kalimantan, Java, and Sulawesi, with total nucleus planted area of 111K ha as of FY25. Of this, 90.8K ha is oil palm, 16.2K ha is rubber, and 4.0K ha is other crops. South Sumatra is the dominant operational hub, accounting for ~44% of nucleus area. The oil palm estate is structurally mature, with ~93% of the oil palm nucleus already in a mature state, though a significant portion is estimated to be in the >20-year bracket. LSIP operates 12 palm oil mills in Sumatra and Kalimantan, with total annual FFB processing capacity of 2.7mn tons. Lonsum also maintains a plasma partnership program covering 35.8K ha of oil palm and rubber.

Fig. 47: LSIP – mill locations

Source: Company data, Nomura research

Investment thesis

A constructive CPO backdrop supports LSIP's earnings base

We hold a constructive view on CPO, as we see supply-demand dynamics tilting in favor of tighter balances. On the demand side, we view Indonesia's B50 biodiesel mandate expansion (2H26F) and Malaysia's move to B12-15 as meaningful incremental demand drivers, with broader edible oil substitution from geopolitical trade shifts providing an additional tailwind. On the supply side, we estimate fertilizer cost pressures are weighing

materially on smallholder productivity, while large plantations confiscated by the government are likely to face output challenges due to potential operational disruptions. We expect these dynamics to remain supportive of CPO prices going forward, hence providing support for LSIP's earnings going forward.

A distressed multiple on a non-distressed business

Against that stable earnings stream, the valuation has overshoot to the downside. At its current price of IDR1,340 (21-Jul), LSIP trades at 4.4x FY26F P/E and 0.6x P/BV, less than a third of regional peers at 14x, and below its own five-year mean of 6.5x. For a debt-free plantation earning a ~41% margin for both gross profit and EBITDA, that is a distressed multiple attached to a non-distressed business, in our view. The clearest expression of the mispricing is the ex-cash valuation: with net cash of IDR7.6tn equal to ~83% of market capitalization, the market values the entire operating estate at roughly 0.6x FY26F earnings. We view this as the core of the thesis: at this price, investors are effectively acquiring the plantation for close to nothing.

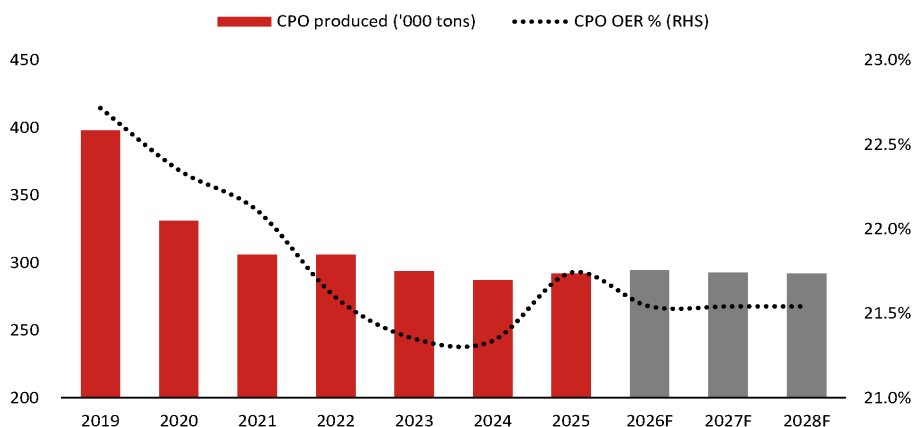
Net cash floors the downside and is the re-rating trigger

The cash position, in our view, is the mechanism that both floors the downside and creates the re-rating trigger. Cash per share is ~IDR1,114 today, and on our forecasts it compounds to ~IDR1,316 in FY26F and ~IDR1,803 by FY28F – meaning cash alone would exceed the current share price within three years, since the shrinking estate needs little capex and the payout is held at 30%. That accumulation dilutes ROE slightly from 14.1% in FY25 to 13.1% by FY28F, but at 4x P/E it is more than discounted, and any move to unlock the cash – a special dividend, a buyback, or a structural payout increase – would re-rate the equity directly, in our view.

Solid fundamentals with aging estates already priced in

We forecast a solid 7.6% EPS CAGR over FY25-28F, and we treat LSIP's aging estates – average age of 18-19 years, with nucleus FFB yield down to 13.2t/ha from 17.1t/ha in 2019 – as a known headwind that is already reflected in the price. The thesis rests on the discount to peers and to intrinsic value narrowing. While that re-rating plays out, the 30% payout delivers 7-8% dividend yield for FY26F-28F, a decent payment, in our view, backed by its strong balance sheet.

Fig. 48: LSIP – Production trend



Source: Company data, Nomura estimates

Catalysts

1. CPO price upside from tighter-than-expected supply and stronger biodiesel mandate execution;
2. A capital-return surprise – a payout lift above 30%, a special dividend, or a buyback deploying the IDR7.6tn cash pile; this is the most direct re-rating trigger, and we believe the balance sheet can fund it without straining operations.
3. Valuation convergence toward regional peers as CPO-sector sentiment improves, closing the gap between LSIP's 4.4x FY26F P/E and peers' 14x – our 8x TP captures only part of that gap.

Financial summary

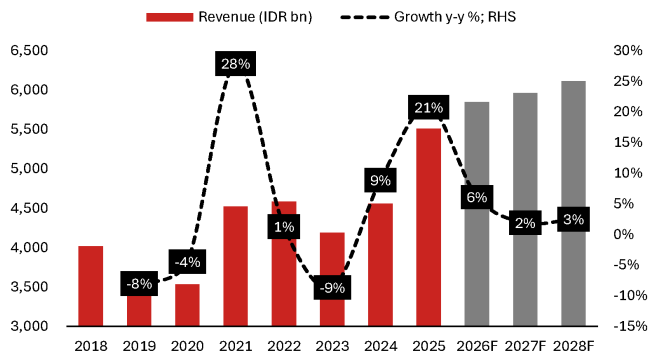
We forecast a 3.5% revenue CAGR over FY25-28F, from IDR5,512bn to IDR6,115bn – a price-led profile. CPO ASP is forecasted to grow 3-6% throughout FY26F-28F, while we expect CPO sales volume will be broadly flat at 292-295k tonnes over the same period as estate aging outweighs newly matured area.

We forecast an expanding gross margin from 41% in FY25 to 45% in FY28F driven by higher CPO prices outweighing cash costs. The margin risk is to the downside: with volumes declining, any CPO price retracement compresses margins with no volume offset.

We forecast NPAT of IDR2,086bn in FY26F (+10.6% y-y) and a 7.6% NPAT CAGR over FY25-28F, with EPS rising from IDR276 to IDR344. At its current share price, the stock is trading at only 4.4x FY26F P/E (vs regional peers at 14x and its own 6.5x five-year mean). On an ex-cash basis, the operating business trades at ~0.6x FY26F earnings, the sharpest illustration of the mispricing, in our view.

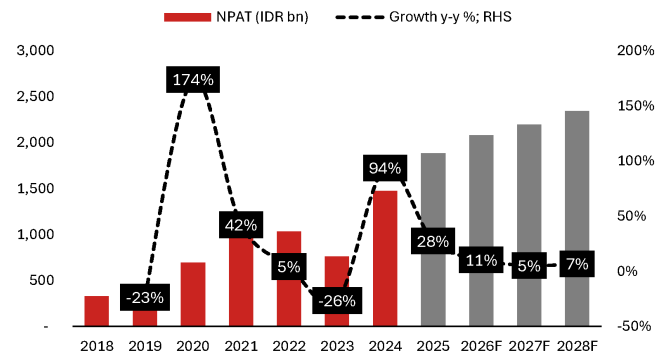
We believe the balance sheet is the anchor. LSIP carries zero interest-bearing debt, and we forecast cash rising from IDR7.6tn (FY25) to IDR12.3tn (FY28F) – cash per share of ~IDR1,114 today and ~IDR1,803 by FY28F, approaching and then exceeding the current share price. Operating cash generation comfortably funds maintenance capex, and at a 30% payout we forecast DPS of IDR92 in FY26F (~7% yield), rising to IDR103 by FY28F. The unproductive cash mix slightly drags ROE from 14.1% in FY25 to 13.1% by FY28F but underwrites the downside at today's price.

Fig. 49: LSIP – Revenue trend



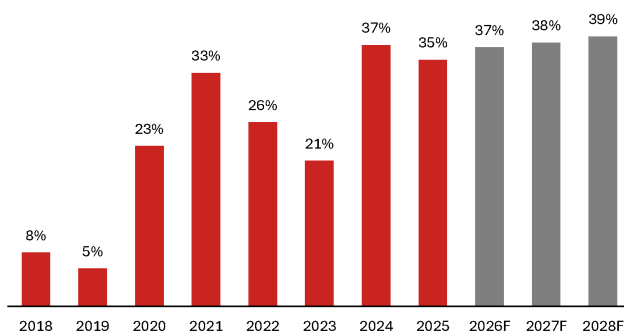
Source: Company data, Nomura estimates

Fig. 50: LSIP – NPAT trend



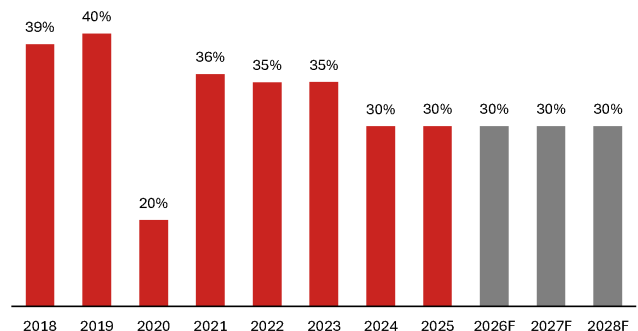
Source: Company data, Nomura estimates

Fig. 51: LSIP – EBIT margin trend

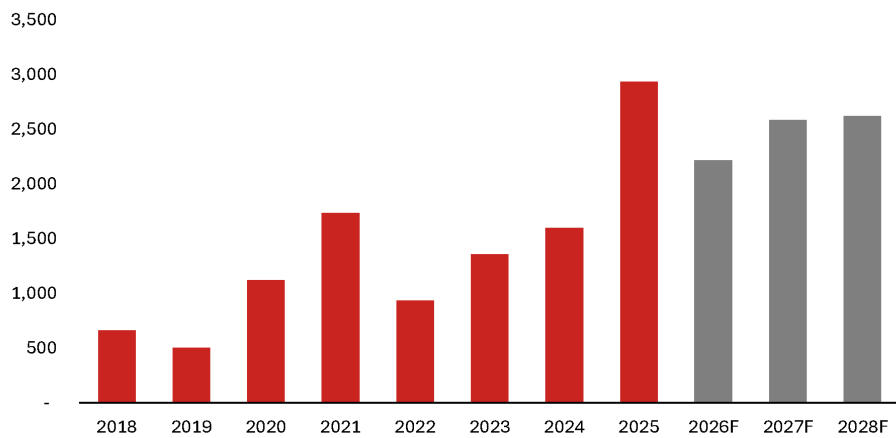


Source: Company data, Nomura estimates

Fig. 52: LSIP – Dividend payout trend



Source: Company data, Nomura estimates

Fig. 53: LSIP OCF trend

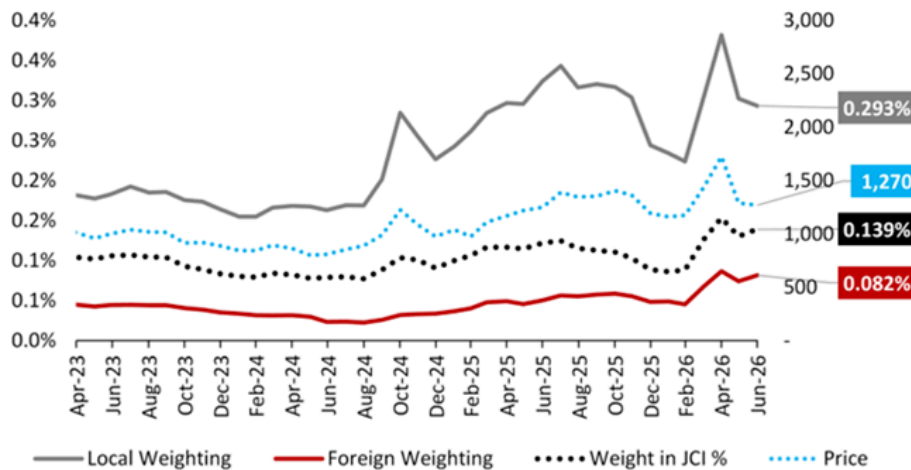
Source: Company data, Nomura estimates

Valuation

We value LSIP based on a FY26F P/E of 8x, below DSNG's 10x and TAPG's 12x, and at a discount vs the regional peer average valuation of 14x, bringing our TP to IDR2,450. Currently, the stock trades at 4.4x P/E and 14% ROE based on FY26F.

Fig. 54: LSIP – Forward P/E band

Source: Nomura estimates

Fig. 55: LSIP – Ownership structure

Source: KSEI, Nomura research

Downside risks

1. Lower-than-expected CPO prices, stemming from weaker biodiesel mandate execution, or a broad commodity selloff driven by global demand slowdown;
2. Fertilizer cost inflation exceeding expectations, compressing margins and delaying the deleveraging cycle; and
3. Unfavorable regulatory changes to Indonesia's CPO policy framework, which could weigh on realized prices and earnings.
4. Unfavorable use of cash, which may keep the valuation discount wide.

ESG

LSIP maintains a credible profile across all three pillars. On the environmental side, the company had achieved 247,000 tonnes of ISPO-certified CPO by end-2024, equal to 97% of total nucleus CPO production, and operates under a Sustainable Agriculture Policy committing it to zero deforestation, zero planting on high-carbon-stock and peat areas, and zero burning for land clearance, supported by its SumBio R&D center for sustainable seed genetics. Socially, that same policy extends to plasma smallholders and third-party suppliers, and LSIP assists both plasma and independent farmers, some of whom have obtained RSPO certification through its programs. On governance, the Sustainable Agriculture Policy is approved and signed at Board level, the Board of Commissioners includes independent commissioners, and the company reports to GRI standards in line with OJK regulation. As part of the Salim/IndoAgri group, related-party oversight and minority protection remain the key governance considerations for a controlled entity of this type.

Appendix A-1

This report has been produced by Nomura Securities Malaysia Sdn. Bhd. (NSM), Malaysia.
See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

The views expressed in this research report about the subject securities and or issuers (1) accurately reflect the personal views of the research analyst(s) primarily responsible for this report (2) no part of the compensation of the research analysts was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report and (3) no part of the compensation of the research analysts is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLIC'), U. S. registered broker dealers and members of SIPC.

Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Dharma Satya Nusantara	DSNG IJ	IDR 1230	21-Jul-2026	Buy	N/A	
Indofood Sukses Makmur	INDF IJ	IDR 6,850	24-Jul-2026	Buy	N/A	
PP London Sumatra Indonesia	LSIP IJ	IDR 1340	21-Jul-2026	Buy	N/A	
Triputra Agro Persada	TAPG IJ	IDR 1610	21-Jul-2026	Buy	N/A	

Dharma Satya Nusantara (DSNG IJ)

IDR 1230 (21-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Dharma Satya Nusantara



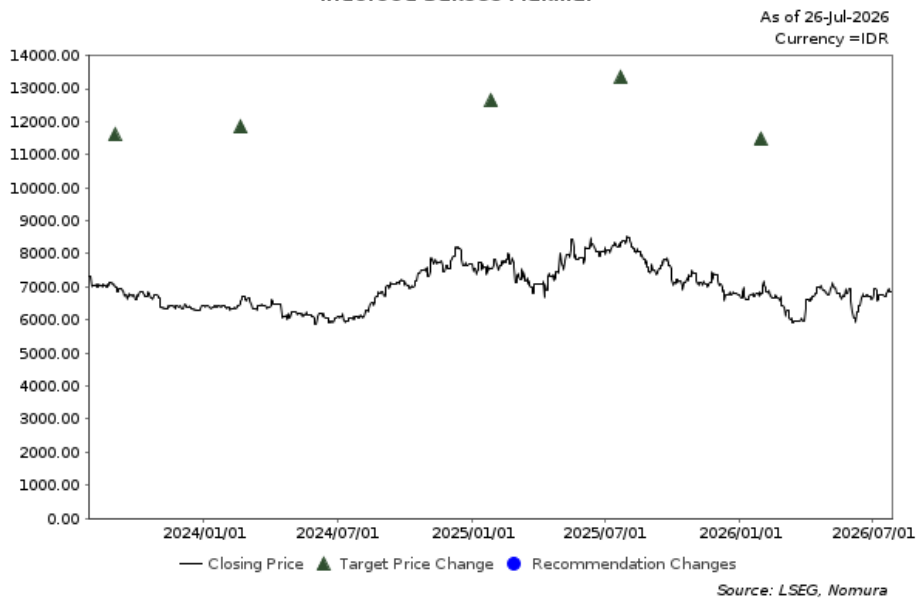
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of IDR2,100 is based on a 10x P/E FY26F (equivalent to +3 SD to its five-year mean), lower than regional peers' (consensus) P/E of 14x. The benchmark is using the JCI Index.

Risks that may impede the achievement of the target price Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

Indofood Sukses Makmur (INDF IJ)**IDR 6,850 (24-Jul-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Indofood Sukses Makmur

Date	Rating	Target price	Closing price
29-Jan-26		11,500.00	6,775.00
23-Jul-25		13,350.00	8,350.00
27-Jan-25		12,650.00	7,550.00
20-Feb-24		11,850.00	6,550.00
01-Sep-23		11,600.00	7,000.00

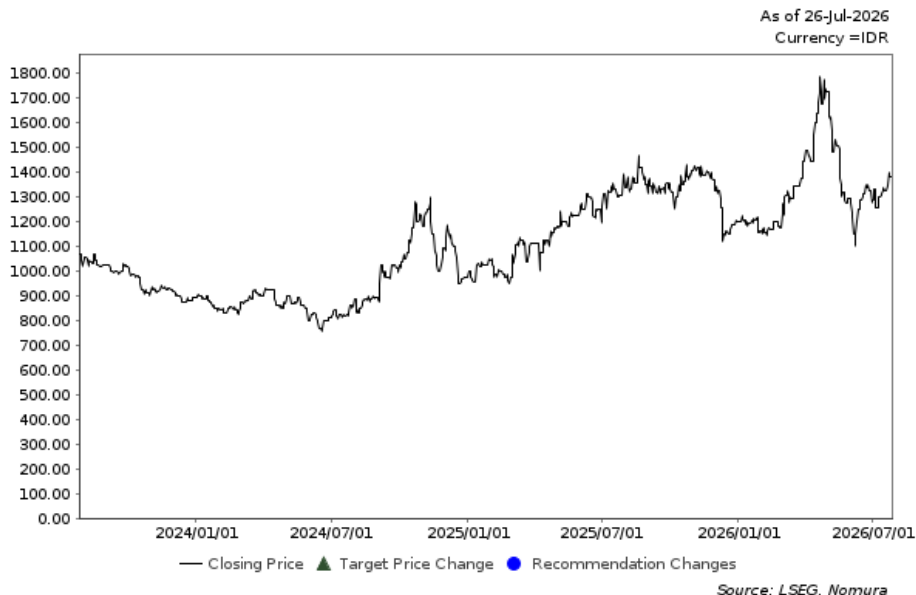
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We derived our TP of IDR11,500, based on SOTP methodology. The valuation detail of each segment is as follows: 1) Indofood CBP – we value ICBP based on 15x P/E; 2) Agribusiness – we value SIMP using 8x P/E; 3) Bogasari – we value the business based on P/S multiple to capture their market size potential; 4) Distribution – we also use P/S. Note that we apply 40% holding company discount as well. Our TP implies 8.1x FY26F P/E, at ~46% discount compared to ICBP valuation. We use JCI as our benchmark index.

Risks that may impede the achievement of the target price A downside risk would be higher-than-expected agribusiness penalty.

PP London Sumatra Indonesia (LSIP IJ)**IDR 1340 (21-Jul-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

PP London Sumatra Indonesia

Date	Rating	Target price	Closing price
------	--------	--------------	---------------

For explanation of ratings refer to the stock rating keys located after chart(s)

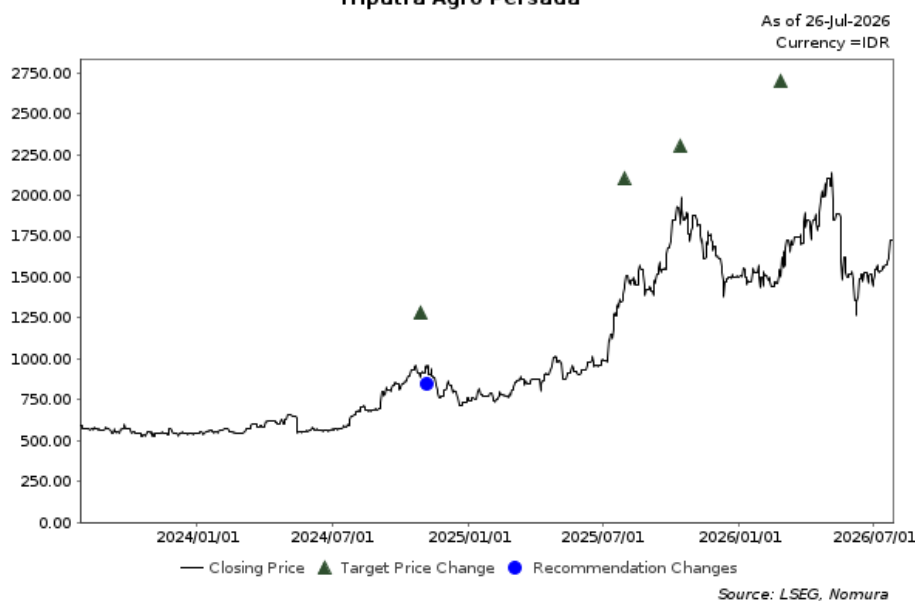
Valuation Methodology Our TP of IDR2,450 is based on an 8x P/E FY26F, below DSNG's 10x and TAPG's 12x, and at a discount towards regional peers' valuation of 14x. The benchmark is using the JCI Index.

Risks that may impede the achievement of the target price Key downside risks include lower-than-expected CPO prices, adverse regulatory changes, and unfavorable use of cash which may keep the valuation discount wide.

Triputra Agro Persada (TAPG IJ)

IDR 1610 (21-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Triputra Agro Persada

Date	Rating	Target price	Closing price
26-Feb-26		2,700.00	1,500.00
14-Oct-25		2,300.00	1,825.00
30-Jul-25		2,100.00	1,435.00
28-Oct-24	Buy		885.00
28-Oct-24		1,285.00	885.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of IDR2,500 is derived from FY26F P/E of 12x, lower than regional peers at 14x FY26F P/E (consensus). The benchmark using JCI Index

Risks that may impede the achievement of the target price Downside risks would be lower-than-expected CPO prices and unfavorable regulatory changes.

Rating and target price changes

Issuer	Ticker	Old Stock Rating	New Stock Rating	Old Target Price	New Target Price
Dharma Satya Nusantara	DSNG IJ	Not Rated	Buy	N/A	IDR 2100
PP London Sumatra Indonesia	LSIP IJ	Not Rated	Buy	N/A	IDR 2450
Triputra Agro Persada	TAPG IJ	Buy	Buy	IDR 2700	IDR 2500

Important Disclosures**Online availability of research and conflict-of-interest disclosures**

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc. If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:

58% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 33% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.

39% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group

3% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 15% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.

As at 30 June 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('Nlplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>), (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFR') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd. ('NOI'), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd. and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or

aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIKH under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIKH under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFR") and FTSE Russell ("Russell"). NFR and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the

posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation. Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by Nlplc. Nlplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Nlplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NHHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NHHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT. Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE

BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.

NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura Securities Malaysia Sdn. Bhd., Malaysia. All rights reserved.